



ACQLERATE

MODULE 14

Why the Rules Exist: A History of Defense Acquisition

Every rule in the system was written after something went wrong. The origins of the FAR from Civil War fraud through two world wars, the 1980s scandals that produced competition and integrity law, the cost and pricing regime behind TINA and CAS, the 1990s commercial reforms and industry consolidation, the wars that made services half the budget, the program failures that produced Nunn-McCurdy and WSARA, and the modern pathways and the 2026 FAR rewrite.

Course Lessons

01	Why There Is a FAR: Profiteering, Two World Wars, and the Birth of the Rulebook	20 min
02	The \$435 Hammer, Operation Ill Wind, and Why Competition and Integrity Are Written Into Law	22 min
03	Truth in Negotiations, Cost Accounting Standards, and DCAA: Why the Government Gets to See Your Numbers	20 min
04	The 1990s Reforms: Commercial Items, Simplified Acquisition, and the Push to Buy Like a Business	22 min
05	Iraq, Afghanistan, and the Contracted Force: How Services Became Half the Budget	22 min
06	Programs That Failed and the Laws They Produced: A-12, Comanche, FCS, and Nunn-McCurdy	24 min
07	The Modern Era: Better Buying Power, the Adaptive Acquisition Framework, and the 2026 FAR Rewrite	22 min

WHY THE RULES EXIST: A HISTORY OF DEFENSE ACQUISITION · LESSON 1

Why There Is a FAR: Profiteering, Two World Wars, and the Birth of the Rulebook

20 min

Where the federal procurement system came from: Civil War contract fraud and the first false claims law, the World War I mobilization and cost-plus-percentage contracts, the World War II Truman Committee and renegotiation, the Armed Services Procurement Act of 1947 and its civilian twin, the decades of separate regulations, and the 1984 consolidation into the Federal Acquisition Regulation. Every chapter explains a rule you work under today.

The Pattern That Repeats

The history of federal procurement law is a cycle: a war or an emergency brings a flood of money and a relaxation of rules; contractors and officials abuse it; a scandal follows; Congress writes a law to prevent the specific abuse; the law makes the system slower; a reform movement loosens it; and the next war restarts the cycle. Almost every rule you work under today was written in response to a specific event. Knowing the event does two things for you: it makes the rule easier to remember, and it tells you what the rule is actually protecting, which is what you need when you have to decide whether a situation the rule did not anticipate is inside or outside it.

The Civil War and the First Anti-Fraud Law

The Union Army in 1861 bought on a scale the government had never attempted, through agents and contractors with little oversight. The results were famous: uniforms made of shoddy (reprocessed wool that fell apart in rain), guns that would not fire, horses that were blind or lame, sand sold as sugar. Congressional investigations found systematic fraud. In 1863 Congress passed the False Claims Act, which made submitting a false claim to the government unlawful and, in a provision that still defines the law, allowed any private person to sue on the government's behalf and keep a share of the recovery. That *qui tam* provision is why, today, a contractor employee who discovers false billing can file a sealed suit that the Justice Department may join, and why the False Claims Act, not the criminal code, is the enforcement tool contractors fear most.

World War I: Cost-Plus and the Lesson of Percentages

The 1917 mobilization needed factories built and products delivered faster than fixed-price bidding could manage, so the government signed contracts that paid the contractor's costs plus a percentage of those costs as profit. The incentive was obvious in hindsight: the more a contractor spent, the more it earned. Costs rose, and the postwar investigations produced the first modern reforms. Cost-plus-percentage-of-cost contracting was prohibited by statute in 1940, before the next war, and the prohibition is in the law today.

The cost-plus-fixed-fee contract, in which the fee is set at award and does not rise with cost, is the direct descendant: it keeps the government's ability to pay for uncertain work while removing the incentive to inflate it. When the contract types lesson tells you that CPFF fee is fixed, this is why.

World War II: The Truman Committee and Renegotiation

Between 1940 and 1945 the United States spent more on procurement than in its entire prior history, and a freshman senator from Missouri, Harry Truman, chaired a committee that spent seven years investigating how it was spent. The committee found defective engines certified as good, inflated prices, camps built at multiples of their estimates, and contractors earning profits far above peacetime norms. Its response was not to stop the spending but to build machinery to recover excess: the Renegotiation Act of 1942 let the government review contractor profits after performance and demand refunds of amounts found excessive. Renegotiation continued through the Korean War and Vietnam and was allowed to lapse in 1979. Its logic survives in the Truth in Negotiations Act, cost accounting standards, and DCAA audit, which the next lessons cover. The committee also made Truman vice president, then president, which is why the postwar procurement statutes had a president who understood the problem.

The Founding Statutes

YEAR	LAW	TRIGGERED BY	WHAT IT LEFT BEHIND
1863	False Claims Act	Civil War contract fraud	Qui tam suits; treble damages; the main fraud tool
1940	Prohibition on cost-plus-percentage-of-cost	World War I cost inflation	CPFF and other fixed-fee forms; the ban still in law
1942	Renegotiation Act	Truman Committee findings on wartime profits	After-the-fact profit review; ancestor of TINA and CAS
1947	Armed Services Procurement Act	Need to unify wartime military purchasing	Formal advertising default; enumerated negotiation exceptions; the DoD framework
1949	Federal Property and Administrative Services Act	Same need for civilian agencies	GSA; the civilian framework
1974	Office of Federal Procurement Policy Act	Commission on Government Procurement (1972) finding fragmentation	OFPP; the push toward one regulation
1984	Federal Acquisition Regulation	Decades of separate military and civilian rulebooks	One regulation, agency supplements, the structure you use

REAL TALK

When a contracting officer tells you a rule is there for a reason, the reason is usually one specific person who did one specific thing, often about a century ago. The ban on cost-plus-percentage-of-cost is a World War I factory owner. The False Claims Act is a Civil War horse dealer who sold the Union Army some deeply disappointing horses. The rules are not arbitrary. They are scar tissue. That does not make every rule wise or every application of one sensible, but it should change how you argue against it. Not "this is bureaucratic," which has never worked for anybody. Try "the abuse this was written to prevent cannot happen here, and here is why."

One sentence to teach your team: **federal procurement law is a record of what went wrong, each war brought money and abuse, each abuse brought a statute, and the FAR of 1984 gathered a century of those statutes and regulations into one book that every rule inside still carries its origin.**

INTERMEDIATE

The 1947 Act and the Long Reign of Formal Advertising

The Armed Services Procurement Act took the wartime authorities and made them permanent, but with a philosophy: the normal way to buy would be formal advertising (publish the requirement, receive sealed bids, award to the lowest responsive and responsible bidder), and negotiation would be allowed only under seventeen enumerated exceptions. The exceptions turned out to cover most of what the military bought (anything technical, anything urgent, anything for research), so in practice negotiated procurement dominated defense buying from the start. But the law's structure made negotiation look like the exception, which meant every negotiated award carried a justification, and that habit of documenting why competition was not used survived into the Competition in Contracting Act four decades later. The lesson on J&As is the modern descendant.

Two Systems, Then One

For thirty-five years the military bought under the ASPR (renamed the DAR in 1978) and the civilian agencies under the Federal Procurement Regulations, with each agency adding its own layers. A contractor selling to the Army and to the Department of Energy dealt with two rulebooks, different clauses, and different definitions. The Commission on Government Procurement, reporting in 1972, counted the fragmentation and recommended a single system; Congress created the Office of Federal Procurement Policy in 1974 to build it. The Federal Acquisition Regulation took a decade to write and took effect April 1, 1984. It kept the agency supplements (the DFARS for defense, and each service's own supplement below that), which is why a DoD contract cites FAR clauses, DFARS clauses, and sometimes service clauses in layers. The Uniform Contract Format lesson explains how those layers appear in a contract.

What the Consolidation Did and Did Not Fix

The FAR unified the vocabulary, the clause numbering, and the structure, and it made government-wide policy possible: a single change to the FAR reaches every agency. What it did not do was simplify the underlying law, because the FAR implements statutes, and the statutes kept coming. Within a year of the FAR's effective date, the Competition in Contracting Act rewrote the competition rules; within four years, the Procurement Integrity Act added a new layer; and the 1990s reform statutes rewrote large parts again. The FAR is best understood not as a design but as a codification: it holds whatever Congress has enacted, organized by topic, and its size reflects the number of things Congress has wanted to prevent.

How to Use History as a Working Tool

When you meet a rule that seems to make no sense in your situation, ask three questions. What abuse was it written to prevent? Is that abuse possible here? If not, is there a deviation, exception, or authority that the rule itself provides for cases like this? The answers usually lead to one of two places: a legitimate path around the rule (a waiver, a determination, a different contracting method) that the drafters anticipated, or the realization that the abuse is in fact possible and the rule applies. Either way, you argue from the rule's purpose, which contracting officers and lawyers respect, rather than from inconvenience, which they do not.

ADVANCED

The False Claims Act as the Living Fossil

The 1863 statute was weakened in 1943 (after a wave of parasitic suits copying government indictments) and largely dormant until 1986, when Congress, responding to the spare parts scandals of the next lesson, strengthened it: higher penalties, treble damages, a larger relator's share, and protection for whistleblowers. Since then it has recovered tens of billions of dollars, with defense and health care the largest sources. For a contractor, the Act is the reason that every invoice, every certification in SAM, every representation of small business status, and every cost submission is a potential claim: the government does not have to prove an intent to defraud, only knowing or reckless submission of a false claim, and the damages are tripled. The compliance module's traps lessons are, in large part, a catalog of ways to violate a law written for Civil War horse dealers.

The Cost-Type Contract as Institutional Memory

The cost-reimbursement contract is the system's answer to a problem it faced in 1917: how to buy something whose cost cannot be known in advance without giving the contractor a reason to spend more. Every feature of the modern cost-type contract addresses a piece of that problem. The fixed fee removes the percentage incentive. Allowability rules define what the government will pay for, because World War I and II contractors charged entertainment, lobbying, and executive excess. Cost accounting standards make costs

comparable across contracts, because renegotiation found that contractors shifted costs between fixed-price and cost-type work. Audit verifies the costs, because self-reporting failed. The limitation of cost clause caps the government's exposure, because open-ended contracts consumed appropriations. When the finance module explains these mechanics, each one is the memory of a specific failure.

Rules You Use and the Events Behind Them

A short catalog from this era.

Qui tam whistleblower suits 1863

Civil War fraud; private citizens enlisted as enforcers because the government could not police its own contracts.
Why an employee's complaint can become a federal case.

CPPC prohibited; CPFF permitted 1940

World War I cost inflation under percentage contracts.
Why fee is fixed at award on cost-type work.

Profit review, cost data, audit 1942

Truman Committee findings on wartime profits and defective goods.
The lineage of TINA, CAS, and DCAA.

Justification for not competing 1947

Formal advertising as the default with enumerated exceptions.
The habit that became the J&A.

One regulation with agency supplements 1984

Fragmented rulebooks that burdened contractors and blocked government-wide policy.
Why your contract cites FAR, DFARS, and service clauses in layers.

WHAT SENIOR PMS DO DIFFERENTLY

Senior acquisition professionals know the origin of the rules they apply, argue from purpose rather than inconvenience, use the exceptions and deviations the drafters built in for cases the rule did not anticipate, and treat the False Claims Act as the reason every certification and invoice deserves a second look before it goes out.

BUILD ON THIS

- **Contract Types** CPFF as the answer to 1917
- **The Uniform Contract Format** How the FAR layers appear in a contract
- **CICA and the \$435 Hammer** The next scandal and the next statute

Key Terms

False Claims Act (1863)

The Civil War statute, signed by Lincoln, that made it unlawful to submit false claims for payment to the government and let private citizens sue on the government's behalf for a share of the recovery. Still the government's main anti-fraud tool.

Cost-Plus-Percentage-of-Cost

A contract paying the contractor its costs plus a percentage of those costs as profit, so profit rises with spending. Used in World War I; prohibited by statute since 1940 because it rewards waste.

Truman Committee

The Senate Special Committee to Investigate the National Defense Program (1941 to 1948), chaired by Harry Truman, which investigated waste and profiteering in war production and shaped postwar procurement law.

Renegotiation

The World War II and Korean War practice of reviewing contractor profits after the fact and recovering amounts found excessive. Ended in the 1970s; the ancestor of today's cost and pricing rules.

Armed Services Procurement Act (1947)

The statute that unified military purchasing law after World War II, established formal advertising as the default with enumerated exceptions for negotiation, and created the framework the DoD system still rests on.

Federal Property and Administrative Services Act (1949)

The civilian agency counterpart, creating the General Services Administration and the civilian procurement framework.

ASPR / DAR

The Armed Services Procurement Regulation (1948) and its successor, the Defense Acquisition Regulation (1978): the military's own procurement rulebook before the FAR.

Federal Acquisition Regulation (1984)

The single government-wide procurement regulation, effective April 1984, that replaced the separate military and civilian regulations. Supplemented by agency regulations such as the DFARS.

Formal Advertising

The historical default method: publish the requirement, receive sealed bids, award to the lowest responsive, responsible bidder. Now called sealed bidding and no longer the default.

Office of Federal Procurement Policy (1974)

The office in the Office of Management and Budget created to set government-wide procurement policy, which drove the FAR consolidation.

Knowledge Check

What is the recurring pattern in federal procurement history?

- A. Steady simplification
- ✓ B. War brings money and relaxed rules, abuse follows, a scandal produces a statute, the statute slows the system, reform loosens it, and the next war restarts the cycle
- C. Congress ignores procurement
- D. Rules are written in advance of problems

WHY

Almost every rule was written in response to a specific event.

What did the 1863 False Claims Act introduce that still defines it?

- A. Sealed bidding
- ✓ B. The qui tam provision allowing private citizens to sue on the government's behalf and keep a share
- C. Cost accounting standards
- D. The contracting officer warrant

WHY

Written for Civil War fraud; strengthened in 1986; the main fraud tool today.

Why is cost-plus-percentage-of-cost contracting prohibited?

- A. It is too complex
- ✓ B. Profit rises with spending, so it rewards waste, as World War I showed
- C. It favors small business
- D. It was never used

WHY

Banned by statute in 1940; CPFF with a fixed fee is the descendant.

What did the Truman Committee investigate?

A. Civil War contracts

✓ **B. Waste, profiteering, and defective production in World War II defense contracting**

C. The FAR drafting

D. Spare parts prices in the 1980s

WHY

Its findings shaped renegotiation and the postwar statutes, and made Truman president.

What was renegotiation?

A. Rebidding contracts

✓ **B. After-the-fact government review of contractor profits with recovery of excessive amounts**

C. Contract modification

D. Protest resolution

WHY

Ended in 1979; its logic survives in TINA, CAS, and audit.

What default method did the 1947 Armed Services Procurement Act establish?

A. Negotiation

✓ **B. Formal advertising with sealed bids, with negotiation allowed only under enumerated exceptions**

C. Other Transactions

D. Sole source

WHY

In practice the exceptions covered most defense buying, but the habit of justifying non-competition survived.

Before 1984, how many procurement rulebooks did a contractor selling to both DoD and a civilian agency face?

A. One

✓ B. At least two (ASPR/DAR and the Federal Procurement Regulations), plus agency layers

C. None

D. Fifty

WHY

The 1972 Commission on Government Procurement documented the fragmentation.

What did the FAR consolidation not fix?

A. Clause numbering

✓ B. The underlying statutory complexity, because the FAR implements statutes that kept coming

C. Vocabulary

D. Government-wide policy

WHY

CICA rewrote competition within a year; the FAR is a codification, not a design.

When a rule seems not to fit your situation, what should you ask?

A. Who can waive it for me

✓ B. What abuse it prevents, whether that abuse is possible here, and whether the rule provides an exception or deviation for cases like this

C. Whether anyone will notice

D. How other agencies ignore it

WHY

Arguing from purpose is what contracting officers and lawyers respect.

Match the rule to its historical trigger:**CORRECT MATCHES**

Qui tam whistleblower suits	Civil War contract fraud
Ban on cost-plus-percentage-of-cost	World War I cost inflation
Profit review, cost data, and audit	Truman Committee findings in World War II
One regulation with agency supplements	Decades of fragmented military and civilian rulebooks

WHY

Each rule is scar tissue from a specific event.

Order the founding statutes:**CORRECT ORDER**

1. False Claims Act
2. Prohibition on cost-plus-percentage-of-cost contracts
3. Armed Services Procurement Act
4. Office of Federal Procurement Policy Act
5. Federal Acquisition Regulation takes effect

WHY

1863, 1940, 1947, 1974, 1984.

Under the False Claims Act, what must the government prove?

A. Intent to defraud beyond a reasonable doubt

✓ **B. Knowing or reckless submission of a false claim, with damages tripled**

C. A criminal conspiracy

D. Loss over \$1 million

WHY

Every invoice and certification is a potential claim, which is why compliance matters.

WHY THE RULES EXIST: A HISTORY OF DEFENSE ACQUISITION · LESSON 2

The \$435 Hammer, Operation Ill Wind, and Why Competition and Integrity Are Written Into Law

22 min

The 1980s, the decade that produced the modern competition and ethics rules: the spare parts scandals and the arithmetic behind the famous prices, the Competition in Contracting Act of 1984 and the protest system it built, the Packard Commission and the reorganization of defense acquisition, the Operation Ill Wind bribery investigation and the Procurement Integrity Act, and the 1986 revival of the False Claims Act. The origin of full and open competition, the J&A, GAO protests, and the rules on contractor contact.

The Decade That Wrote Your Competition Rules

If the founding statutes came from wars, the modern rules came from the 1980s, a peacetime buildup with the largest defense budgets since Korea and a press corps that discovered procurement. In five years, the spare parts scandals made the acquisition system a national joke, the Competition in Contracting Act rewrote how the government buys, the Packard Commission rewrote how the Department is organized to buy, and Operation Ill Wind sent officials to prison and produced the ethics rules. Almost everything in the contracts module about competition, source selection, protests, and integrity dates from this decade.

The Hammer, Explained

The famous prices were real, and they were also misunderstood, and both facts matter. On many of the notorious items, the contractor had allocated overhead and support costs evenly across every line item on a contract, so a hammer on a contract full of complex parts carried the same share of engineering and management cost as a component of a radar. The hammer was not worth \$435; the contract's total price was roughly right; the allocation made a routine item look absurd. In other cases the prices reflected genuine overpricing on sole-source spare parts bought from the original manufacturer with no competition and no cost analysis, which was widespread. The public did not distinguish, and Congress did not have to: the scandal proved that the system could not explain its own prices, that spare parts were bought without competition, and that no one was watching. The fixes addressed both: competition for spares, cost analysis for sole-source items, and a rule that overhead be allocated by a rational method rather than evenly.

IN PLAIN TERMS

Picture eight friends splitting a restaurant bill evenly. The person who ordered a side salad pays the same share as the person who ordered steak and wine. Seen alone, that salad cost \$60, which sounds absurd, even though the total bill was correct. Many of the famous spare parts prices worked like this: overhead spread evenly across every line item made a routine hammer look outrageous. The fix was the one friends use: split the cost by a rational method, based on what each item actually uses.

CICA: Full and Open Competition Becomes the Law

The Competition in Contracting Act of 1984, effective in 1985, replaced the 1947 framework. Under the old law, formal advertising was the default and negotiation the exception; in practice negotiation dominated and much of it was sole source. CICA made full and open competition the requirement for every procurement, put sealed bidding and competitive proposals on equal footing as ways to achieve it, and allowed other than full and open competition only under seven enumerated exceptions (only one responsible source, urgency, industrial mobilization, international agreement, authorized by statute, national security, and public interest), each requiring a written justification approved at a level that rises with the dollar value. It required agencies to designate competition advocates. And it gave the Government Accountability Office statutory authority to decide bid protests, with an automatic stay of award or performance while the protest is pending. The J&A lesson, the source selection lesson, and every protest you will ever see are CICA.

EXAMPLE (ILLUSTRATIVE)

Program X needs eight spare parts for a fielded system. All eight have been bought sole source from the original manufacturer for years. Under the Competition in Contracting Act (CICA), full and open competition is the requirement, so the program office does market research. It finds a second firm that can make three of the parts, and those three are competed. For the remaining $8 - 3 = 5$ parts, only the original manufacturer can make them. The office writes a justification under the "only one responsible source" exception, documents the market research, and routes it for approval at the level its dollar value requires. The competition advocate reviews it. When one competed award is made, the losing bidder files a timely protest at the Government Accountability Office (GAO), and performance is stayed automatically while the protest is pending.

What CICA Changed

BEFORE CICA	AFTER CICA	WHERE YOU SEE IT
Formal advertising default; negotiation by exception	Full and open competition required; sealed bids and proposals as equal methods	Competitive proposals are normal, not an exception
Seventeen negotiation exceptions, loosely applied	Seven exceptions to competition, each with a written J&A approved by level	The J&A and its approval thresholds
Protests to GAO by tradition, no stay	Statutory GAO protest authority with an automatic stay	Protest windows, the stay, and the override
No one responsible for promoting competition	Agency competition advocates	The advocate's review of sole-source justifications
Sole-source spares from OEMs	Competition for spare parts; breakout programs; data rights pressure	Why data rights decisions affect sustainment competition

The Packard Commission: Reorganizing to Buy

In 1985 the President appointed a commission under David Packard, the Hewlett-Packard founder and former Deputy Secretary of Defense, to examine defense management. Its 1986 report found that the acquisition system was slow, layered, and staffed by people without the authority or the tenure to manage programs, and that the Department bought things the way no successful company would. It recommended a single Under Secretary of Defense for Acquisition with authority over the system; a short chain from program managers through program executive officers to a service acquisition executive; the use of commercial products and practices wherever possible; prototyping before production; and a stable, professional acquisition workforce. Congress enacted the organizational parts in the Goldwater-Nichols Act and the defense authorization act of 1986. The PEO structure, the service acquisition executives, and the under secretary the foundations module describes are the Packard Commission's design.

REAL TALK

The 1980s reforms pulled in two directions at once, and we are all still living in the gap. CICA and the integrity rules added process: justifications, approvals, stays, disclosure limits. Packard asked for speed, commercial practice, and trusting professional judgment. Every reform since has been an attempt to get Packard's outcomes while staying inside CICA's rules. So the next time the system seems to be actively fighting itself, relax. It is. You are feeling 1984 and 1986 argue, and they have been at it a while.

Operation Ill Wind and the Procurement Integrity Act

In June 1988 the FBI executed search warrants across the defense industry and the Pentagon, revealing a two-year investigation into consultants who bought inside information (source selection details,

competitors' pricing, evaluation results) from procurement officials and sold it to contractors. The investigation produced convictions of an Assistant Secretary of the Navy, a Deputy Assistant Secretary of the Air Force, dozens of consultants and executives, and several major corporations, with hundreds of millions of dollars in fines and recoveries. Congress responded within months with the Procurement Integrity Act, which made it unlawful to disclose or obtain source selection or contractor bid and proposal information, required officials to report employment contacts from bidders during a procurement, and barred certain officials from accepting compensation from a contractor for a period after specified roles. The ethics lessons in the compliance and veteran modules are Ill Wind's legacy, and the reason a contractor employee who receives a competitor's pricing from a government contact should stop, report it, and expect an investigation.

One sentence to teach your team: **the spare parts scandals proved the system could not explain its prices, CICA answered by making full and open competition the law with written justifications and a protest system, Packard answered by reorganizing the Department to buy like a business, and Ill Wind answered by making the trade in inside information a crime.**

INTERMEDIATE

The Protest System CICA Built

Before CICA, GAO decided protests as a matter of its own practice, agencies could ignore it, and there was no stay; a protester could win and find the contract already performed. CICA gave GAO statutory authority, set deadlines (a protest filed within a defined window after award or debriefing triggers a stay of performance; pre-award protests stay award), required agencies to report, and gave GAO a deadline to decide. Agencies may override the stay with a written finding of urgent and compelling circumstances or best interests, and those findings are themselves reviewable. The Court of Federal Claims offers a parallel forum. The practical result: a losing bidder with a credible ground has real leverage, agencies write evaluations to survive review, and the source selection lesson's emphasis on evaluating exactly as the solicitation stated is the direct product of forty years of GAO decisions sustaining protests when they did not.

The 1986 False Claims Act Amendments

The same scandals revived the Civil War fraud statute. The 1986 amendments raised penalties, made damages treble, increased the whistleblower's share, lowered the standard of knowledge to include reckless disregard, and protected relators from retaliation. Defense contractors were the first target, and the Act became the primary tool for recovering overcharges, defective pricing, and false certifications. For a modern contractor the consequence is that the fraud statute written for 1863 is now the enforcement mechanism behind almost every compliance obligation: mischarging, defective pricing, small business

misrepresentation, cybersecurity certification, and domestic preference claims are all pursued under it. The compliance module's traps lessons describe the conduct; the 1986 amendments are why the government has the tool.

Spare Parts, Data Rights, and the Sustainment Competition Problem

One of the lasting effects of the scandals was attention to why spare parts were sole source: the government did not own the technical data needed to buy them from anyone but the original manufacturer. Congress and the Department responded with spare parts breakout programs (identifying parts that could be competed and acquiring the data to do so), pressure to negotiate data rights at development, and rules requiring data rights to be addressed in acquisition strategies. The lifecycle module's sustainment lesson and the compliance module's data rights lesson describe the modern version of a fight that started with a hammer: whether the government will have the rights to compete support for a system over its decades of service, or will pay the original manufacturer whatever it asks.

The Cost of Integrity: Process and Its Critics

The 1980s statutes are the source of most complaints about acquisition speed. Full and open competition takes longer than sole source. J&As require writing and approval. Protests stop work. Disclosure limits make communication with industry cautious. Every reform movement since has targeted these costs, and every reform has kept the underlying rules, because the abuses they prevent keep recurring in every relaxation. The honest position is that the process is expensive and that its absence has been more expensive; the professional skill is knowing the exceptions, using them properly, and running the required process efficiently rather than slowly.

ADVANCED

Reading the Seven Exceptions as History

Each CICA exception encodes an argument Congress accepted in 1984. Only one responsible source: the scandals were sole-source spares, so this exception requires documented market research showing no alternative and is the most scrutinized. Urgency: legitimate for real emergencies, and the one most often abused, which is why lack of advance planning is expressly excluded. Industrial mobilization and the maintenance of essential capabilities: a Cold War concern about keeping suppliers alive. International agreement: alliances and foreign military sales. Authorized by statute: the doorway through which every later set-aside and special program (8(a), SBIR Phase III, and others) enters, which is why they are lawful non-competitive awards. National security: disclosure would harm it. Public interest: requires the agency head and notice to Congress, and is almost never used. The J&A lesson explains how to write to each; this is why each exists.

Packard's Unfinished Agenda

The organizational recommendations were enacted; the cultural ones were not. Packard wanted program managers with long tenure and real authority, streamlined reporting, commercial practices as the norm, and prototypes before commitments. The system got PEOs and an under secretary, but program manager tenure stayed short, reporting layers grew, commercial practice required a separate statute a decade later, and prototyping went in and out of fashion. Every subsequent reform, from the 1990s streamlining acts to Better Buying Power to the adaptive acquisition framework, has re-proposed some part of Packard. Knowing that helps in two ways: it tells you which reforms are likely to recur, and it tells you that the resistance is structural, not personal. The system was built to prevent abuse first and to deliver capability second, and the order has never been reversed.

The 1980s Statutes and the Rules They Left

From event to rule.

Spare parts scandals (1983 to 1985) TRIGGER

Absurd prices from even overhead allocation and sole-source spares.

Cost analysis, allocation rules, breakout programs, and data rights attention.

CICA (1984) COMPETITION

Full and open competition, seven exceptions, the J&A, competition advocates, GAO protests with a stay.

The contracts module's competition and protest content.

Packard Commission and Goldwater-Nichols (1986) ORGANIZATION

USD(A), PEOs, service acquisition executives, commercial practice, prototyping.

The foundations module's organization chart.

False Claims Act amendments (1986) ENFORCEMENT

Treble damages, reckless disregard, whistleblower protection.

The enforcement tool behind every compliance rule.

III Wind and the Procurement Integrity Act (1988) INTEGRITY

Source selection information protected; employment contacts reported; compensation bans.

The ethics lessons in the compliance and veteran modules.

WHAT SENIOR PMS DO DIFFERENTLY

Senior professionals treat CICA's exceptions as documented arguments rather than loopholes, write evaluations and J&As to survive the protest system CICA built, understand that the Procurement Integrity Act was written for a real bribery scheme and behave as if investigators are reading their email, and recognize that the tension between process and speed is the system's design, to be managed rather than resented.

BUILD ON THIS

- **J&As, D&Fs, and the Approvals That Gate an Award** Writing to CICA's exceptions
- **Procurement Integrity and Ethics** The rules Ill Wind produced
- **The DoD Acquisition System Overview** Packard's organization chart

Key Terms

Spare Parts Scandals

The 1983 to 1985 revelations of extreme prices for common items on defense contracts: a \$435 hammer, a \$640 toilet seat, a \$7,600 coffee maker. Partly real overpricing, partly accounting allocation, entirely a political catastrophe for the acquisition system.

Competition in Contracting Act (CICA, 1984)

The statute that made full and open competition the required default, replaced the formal advertising framework with sealed bidding and competitive proposals as equals, narrowed sole-source exceptions to seven and required written justifications, and gave GAO statutory protest authority with an automatic stay.

Full and Open Competition

All responsible sources are permitted to compete. The CICA standard, from which every exception must be justified in writing and approved.

Justification and Approval (J&A)

The written document, required by CICA, explaining which exception permits other than full and open competition and why, approved at a level that rises with dollar value.

Automatic Stay

The CICA provision that suspends award or performance when a protest is filed with GAO within the required window. The reason protests have leverage.

Packard Commission (1986)

The President's Blue Ribbon Commission on Defense Management, chaired by David Packard, whose recommendations created the Under Secretary for Acquisition, the program executive officer structure, and the push toward commercial practices.

Operation Ill Wind

The FBI investigation, public in 1988, into bribery and inside information in defense procurement, which produced dozens of convictions of officials, consultants, and contractor executives.

Procurement Integrity Act (1988)

The statute enacted in response to Ill Wind, restricting disclosure of source selection and bid information, regulating employment contacts during procurements, and imposing post-employment compensation bans.

Competition Advocate

The official each agency must designate under CICA to challenge barriers to competition and promote it. A CICA creation.

Government Accountability Office (GAO)

The congressional audit agency that, under CICA, decides bid protests, issuing recommendations that agencies almost always follow.

Knowledge Check

What explained many of the famous spare parts prices?

- A. Pure fraud in every case
- ✓ **B. Even allocation of overhead across all line items, so routine items carried the same support cost as complex ones, alongside genuine sole-source overpricing**

C. Currency fluctuation

D. Union labor

WHY

The scandal proved the system could not explain its prices and that spares were bought without competition.

What did CICA make the default?

- A. Sealed bidding only
- ✓ **B. Full and open competition, with sealed bids and competitive proposals as equal methods**

C. Sole source with a J&A

D. Other Transactions

WHY

Every exception requires a written justification approved by level.

How many exceptions to full and open competition does CICA allow?

A. Seventeen

✓ **B. Seven**

C. Three

D. Unlimited

WHY

Only one source, urgency, industrial mobilization, international agreement, statute, national security, public interest.

What gives a GAO protest leverage?

A. GAO can award the contract

✓ **B. The automatic stay of award or performance while the protest is pending**

C. Criminal penalties

D. Congressional hearings

WHY

Agencies may override with a written finding, which is itself reviewable.

What did the Packard Commission recommend?

A. More regulations

✓ **B. A single acquisition under secretary, a short PM-PEO-service acquisition executive chain, commercial practices, prototyping, and a professional workforce**

C. Abolishing GAO

D. Ending competition

WHY

The organizational parts were enacted; the cultural parts recur in every reform since.

What was Operation Ill Wind?

A. A weather program

✓ **B. An FBI investigation into consultants buying inside procurement information from officials and selling it to contractors, producing dozens of convictions**

C. A spare parts audit

D. A protest case

WHY

Congress responded within months with the Procurement Integrity Act.

What did the Procurement Integrity Act make unlawful?

A. All contact with contractors

✓ **B. Disclosing or obtaining source selection and bid or proposal information, with reporting of employment contacts and post-employment compensation bans**

C. Sole-source awards

D. Cost-type contracts

WHY

The ethics lessons in the compliance and veteran modules are its legacy.

What did the 1986 False Claims Act amendments do?

A. Repealed the Act

✓ **B. Raised penalties, made damages treble, lowered the knowledge standard to reckless disregard, and protected whistleblowers**

C. Limited it to health care

D. Removed qui tam

WHY

The enforcement tool behind almost every modern compliance obligation.

Which CICA exception is expressly not satisfied by lack of advance planning?

A. Only one responsible source

✓ **B. Urgency**

C. International agreement

D. Public interest

WHY

The most abused exception carries the explicit exclusion.

Match the 1980s event to its statute or reform:**CORRECT MATCHES**

Spare parts scandals	Competition in Contracting Act
Concern that DoD did not buy like a business	Packard Commission and PEO structure
Operation Ill Wind	Procurement Integrity Act
Defense contractor overcharging	1986 False Claims Act amendments

WHY

Scandal to CICA; management review to Packard; bribery to the Procurement Integrity Act; fraud to the FCA amendments.

Order the 1980s events:**CORRECT ORDER**

1. Spare parts scandals become public
2. Competition in Contracting Act enacted
3. Packard Commission reports; Goldwater-Nichols enacted
4. Operation Ill Wind becomes public
5. Procurement Integrity Act enacted

WHY

Scandals 1983 to 1985, CICA 1984, Packard 1986, FCA amendments 1986, Ill Wind and PIA 1988.

Why does the system seem to fight itself on speed versus process?

A. Poor management

✓ **B. CICA and the integrity rules added process while Packard asked for speed and commercial practice, and every reform since has tried to get Packard's outcomes inside CICA's rules**

C. Contractors resist

D. Congress is inconsistent

WHY

The tension is the design; the professional skill is managing it.

WHY THE RULES EXIST: A HISTORY OF DEFENSE ACQUISITION · LESSON 3

Truth in Negotiations, Cost Accounting Standards, and DCAA: Why the Government Gets to See Your Numbers

20 min

The origin of the cost and pricing regime that defines cost-type and sole-source defense contracting: the 1959 to 1962 hearings on defective pricing that produced the Truth in Negotiations Act, the creation of the Defense Contract Audit Agency in 1965, the 1968 to 1970 fight over cost accounting that produced the Cost Accounting Standards Board, why the CAS Board was killed and revived, and how the threshold and exemption debates of the last thirty years explain the rules you apply today.

The Question These Laws Answer

When the government buys something in competition, the price is set by the market, and the government does not need to know what it cost the seller. When the government buys without competition (a sole-source weapon, a follow-on from the only producer, a modification to an existing contract), there is no market, and the price is whatever the negotiation produces. The negotiation is between a contractor who knows its costs and a government negotiator who does not. Everything in this lesson is an answer to that asymmetry: TINA makes the contractor share its cost facts, CAS makes those facts consistent and comparable, and DCAA checks them. Together they are the reason a sole-source defense contractor lives in a world of certified data, audits, and allocation rules that a commercial company never sees.

1959 to 1962: The Hearings That Produced TINA

By the late 1950s most defense dollars were negotiated, not advertised, and the General Accounting Office (now GAO) began reporting cases where contractors had negotiated prices using cost estimates they knew were high: subcontract quotes replaced by lower ones before award but not disclosed, material prices already reduced, labor estimates the contractor's own records contradicted. The overcharges were not fraud in the criminal sense; the contractor had simply negotiated with better information than the government. Congressional hearings in 1959 through 1962 documented the pattern and produced Public Law 87-653, the Truth in Negotiations Act of 1962. The remedy was information: above a threshold, in the absence of adequate price competition, the contractor must submit its cost or pricing data and certify that it is accurate, complete, and current as of the date of agreement; if it is not, the government is entitled to reduce the price by the amount the defect increased it. The compliance module's TINA lesson explains the mechanics; this is why they exist.

What TINA Requires and Does Not

TINA is often misunderstood as a requirement to be right. It is a requirement to be complete. Cost or pricing data are facts: vendor quotes, labor rates and hours from records, material costs, indirect rate history, make-or-buy decisions, anything a prudent negotiator would want to know. Judgments (what the contractor estimates the work will take) are not data, though the facts behind the judgment are. The certification says the facts were current, accurate, and complete on the agreement date. A contractor who discloses a lower subcontract quote and negotiates a price anyway has met TINA; one who withholds it has not, even if the final price was fair. The defense against defective pricing is therefore procedural: sweeps before certification, a disclosure index, and a culture of over-disclosure. The threshold has risen many times (verify the current figure) and the exceptions have grown, but the structure is 1962.

EXAMPLE (ILLUSTRATIVE)

A contractor negotiates a sole-source price, with no competition, above the Truth in Negotiations Act (TINA) threshold. Its proposal includes a subcontract quote of \$500,000. Two weeks before the price is agreed, the subcontractor sends a revised quote of \$420,000. The contractor does not disclose it, certifies that its cost or pricing data are accurate, complete, and current, and the agreed price is built on the old \$500,000 figure. Years later, a Defense Contract Audit Agency (DCAA) audit finds the newer quote. Here the defect increased the price by $\$500,000 - \$420,000 = \$80,000$, so the contracting officer reduces the price by \$80,000, plus the profit that was built on it. Had the contractor disclosed the \$420,000 quote and still argued for a higher price on other grounds, it would have met TINA.

The Cost and Pricing Regime, Piece by Piece

PIECE	YEAR	PROBLEM IT SOLVED	WHAT IT REQUIRES
TINA	1962	Contractors negotiating with undisclosed cost facts	Certified cost or pricing data above a threshold absent competition; price reduction for defective data
DCAA	1965	Three services auditing the same contractors inconsistently	One audit agency for proposals, incurred costs, systems, and rates
CAS Board and standards	1970	Contractors shifting costs between contracts and changing methods to advantage	Consistent measurement, assignment, and allocation; disclosure statement; consistency over time
CAS Board revived	1988	The board had been defunded in 1980 and the standards were frozen	Board in OFPP; standards updated; coverage thresholds set
Threshold increases and exemptions	1990s onward	Compliance burden driving commercial firms away	Higher thresholds; commercial item exemptions; modified coverage

DCAA: One Auditor for the Department

Before 1965 the Army, Navy, and Air Force each audited contractors, sometimes the same contractor at the same plant with different conclusions. Secretary McNamara's consolidation created the Defense Contract Audit Agency, a single organization reporting to the comptroller, to audit for all of DoD. DCAA does not decide anything; it advises contracting officers, who make the determinations. Its work spans the life of a contract: proposal audits before award (is the proposed cost supported), accounting system reviews (can the contractor track costs adequately), forward pricing and provisional billing rate reviews, incurred cost audits after each fiscal year (were the costs allowable, allocable, and reasonable), and defective pricing reviews. The finance module's oversight lesson describes what DCAA does today; the consolidation is why one agency does it, and why its backlog affects every cost-type contractor's closeout.

IF YOU CANNOT SHOW YOUR NUMBERS, STAY COMMERCIAL

The cost and pricing regime is the part of defense contracting that commercial companies find most alien, and it is the part that is least negotiable. A company that wants sole-source or cost-type work will disclose its costs, keep its accounting consistent, and be audited. The rules were written because contractors used information asymmetry to their advantage for two decades before Congress noticed, and every subsequent relaxation has been about thresholds and exemptions, never about the principle. If your business model depends on not showing your numbers, stay in competitive fixed-price work or commercial items, where the exemptions apply.

One sentence to teach your team: **when there is no competition to set the price, the government needs to see the seller's cost facts, needs them measured consistently, and needs someone to check them, and TINA, CAS, and DCAA are the three answers Congress and the Department gave between 1962 and 1970.**

INTERMEDIATE

1968 to 1970: Rickover and the Cost Accounting Standards

Admiral Hyman Rickover, who ran the Navy's nuclear propulsion program and negotiated with shipbuilders for decades, testified repeatedly that contractors used inconsistent accounting to their advantage: charging a cost to one contract this year and another the next, changing methods when a change was favorable, allocating indirect costs in ways that shifted burden to cost-type government work while commercial fixed-price work stayed lean. GAO studied the question and concluded that uniform standards were feasible. In 1970 Congress created the Cost Accounting Standards Board, chaired by the Comptroller General, to write them. Over the decade the Board issued nineteen standards governing how costs are measured (what counts as a cost of a period), assigned (to which period), and allocated (to which contracts), and requiring contractors to disclose their practices and follow them consistently. The standards do not tell

a contractor what its costs should be; they tell it to be consistent and to allocate on a causal or beneficial basis. The finance module's indirect rate content lives inside them.

The Board Dies and Returns

In 1980 Congress stopped funding the CAS Board, and it ceased to exist; the nineteen standards remained in force, frozen, administered by DoD. For eight years no standard could be amended or interpreted by its author. Industry and government both found the situation unworkable, and in 1988 Congress re-established the Board inside the Office of Federal Procurement Policy, with the OFPP Administrator as chair and members from government and industry. The revived Board set coverage thresholds, defined full and modified coverage, and has amended standards and exemptions since. The episode explains a feature of the system: the standards are old, the Board is small, changes are slow, and the thresholds that determine who is covered are the main lever policy has used. It also explains why full CAS coverage appears in the statutory definition of a non-traditional defense contractor: it is the marker of a company fully inside the government's cost regime.

Thresholds, Exemptions, and the Commercial Retreat

From the 1990s on, the reform argument was that TINA and CAS drove commercial companies away from government work, because a company selling the same product to the government and to the market would not maintain a separate cost accounting system and disclose its costs for a small share of revenue. The Federal Acquisition Streamlining Act of 1994 and later statutes raised the TINA threshold, exempted commercial items from certified cost data and from CAS, and created modified coverage for smaller contractors. The thresholds have been raised repeatedly since (verify the current TINA threshold and CAS thresholds, both adjusted periodically). The result is a two-tier system: commercial and competitive work largely outside the regime, and sole-source non-commercial work fully inside it. The on-ramp module's discussion of why commercial companies enter through OTs and commercial item contracts is, at bottom, about staying on the outside of these thresholds.

Defective Pricing as a Practical Matter

Defective pricing cases are rarely dramatic. The typical finding is a subcontract quote that was updated after the proposal and not disclosed, a labor rate that changed before agreement, material that was bought cheaper than proposed, or a learning curve the contractor's own records showed to be steeper than estimated. DCAA finds these in post-award audits, sometimes years later. The contracting officer then reduces the price by the amount the defect increased it, with interest, and in cases of knowing nondisclosure, penalties and False Claims Act exposure. The defense is disclosure: sweeps before certification, a written index of what was provided and when, and a practice of disclosing anything that could matter even if it cuts against the contractor's position. A contractor that discloses a lower quote and then argues for a higher price on other grounds has complied; one that hides it has not.

ADVANCED

Why the Regime Cannot Be Repealed, Only Trimmed

Every reform panel for thirty years has proposed reducing TINA and CAS burden, and every enactment has raised a threshold or added an exemption while keeping the core. The reason is structural: sole-source non-commercial defense work has no market price, the information asymmetry between contractor and government is permanent, and each time the rules have been relaxed for a category of work, GAO and the inspectors general have found overpricing in that category within a few years. The Truman Committee's renegotiation, TINA, CAS, and DCAA are four generations of the same answer, and the fifth generation, when it comes, will be another version of it. A contractor strategy should assume the regime is permanent for sole-source work and plan to be either fully compliant within it or structurally outside it, not to lobby it away.

The Regime Seen From the Government Side

For a government negotiator, TINA data and DCAA audits are the only substitute for competition, and the quality of a sole-source price depends on how well they are used. Senior contracting officers request the data early, read the audit report for the findings that matter, use the CAS disclosure statement to understand how the contractor allocates cost, and negotiate from the facts rather than from the contractor's proposal narrative. They also know the limits: DCAA advises and the CO decides; audit backlogs mean incurred cost findings arrive years late; and a contractor with a strong sweeps process and good faith is a partner, not an adversary. The preaward module's IGCE lesson and the finance module's oversight lesson are the working versions of this; the history explains why the tools exist and why they are the government's to use.

Four Generations of One Answer

How the government has addressed the sole-source information problem.

Renegotiation (1942 to 1979)**AFTER THE FACT**

Review profits after performance; recover the excess.

Worked in wartime; too blunt and too late for peacetime.

TINA (1962)**BEFORE AGREEMENT**

Disclose cost facts before the price is set; reduce the price if the facts were defective.

Moves the remedy to the negotiation.

DCAA (1965) and CAS (1970)**VERIFY AND STANDARDIZE**

One auditor to check the facts; standards to make them consistent.

Without these, disclosed data was uncheckable and incomparable.

Thresholds and exemptions (1994 onward) TRIM

Keep the core; exempt commercial and competitive work; raise thresholds.

The two-tier system that shapes market entry strategy today.

WHAT SENIOR PMS DO DIFFERENTLY

Government negotiators use TINA data, DCAA findings, and CAS disclosure statements as the substitute for competition they were designed to be, and negotiate from facts. Contractor leaders decide deliberately whether to be inside the regime with full compliance or outside it through commercial and competitive work, run sweeps before every certification, disclose more than they must, and never plan a business on the assumption that the rules will go away.

BUILD ON THIS

- **TINA and Certified Cost or Pricing Data** The mechanics today
- **DCAA & DCMA Oversight** What the auditors do now
- **Wrap Rates & Cost Structure** Where CAS lives in practice

Key Terms

Truth in Negotiations Act (TINA, 1962)

The statute requiring contractors to submit certified cost or pricing data for negotiated contracts above a threshold when adequate price competition is absent, and giving the government a price reduction for defective data. Now codified as the Truthful Cost or Pricing Data statute.

Defective Pricing

Certified cost or pricing data that was not accurate, complete, and current as of the agreement date, leading to an increased price. The government is entitled to reduce the price by the amount of the overstatement.

Certified Cost or Pricing Data

All facts that prudent buyers and sellers would reasonably expect to affect price negotiations significantly, submitted with a certificate of currency, accuracy, and completeness. Facts, not judgments.

Adequate Price Competition

The main exception to TINA: two or more responsible offerors competing independently for a contract awarded on price-related factors. Competition substitutes for cost data.

Defense Contract Audit Agency (DCAA, 1965)

The single audit agency for DoD contracts, created by consolidating the services' separate audit organizations, whose auditors examine proposals, cost submissions, accounting systems, and incurred costs.

Cost Accounting Standards (CAS)

Nineteen standards governing how contractors measure, assign, and allocate costs to government contracts, promulgated by the CAS Board, applicable to contracts above thresholds with exemptions.

CAS Board

Created by statute in 1970 under Admiral Rickover's pressure, abolished in 1980 when its funding lapsed, re-established in 1988 within the Office of Federal Procurement Policy.

Disclosure Statement

The document a CAS-covered contractor files describing its cost accounting practices, against which consistency is measured. Required above a threshold of CAS-covered awards.

Full vs. Modified CAS Coverage

Full coverage applies all standards; modified coverage applies four; the trigger depends on the size of CAS-covered awards. Full coverage is also the trigger in the definition of a non-traditional defense contractor.

Sweeps

A contractor's final review of its data before certification to catch anything not disclosed. The practical defense against defective pricing findings.

Knowledge Check

What problem does the cost and pricing regime address?

A. Slow payments

✓ **B. The information asymmetry when there is no competition to set a price: the contractor knows its costs and the government does not**

C. Small business participation

D. Security

WHY

TINA shares the facts, CAS makes them consistent, DCAA checks them.

What pattern did the 1959 to 1962 hearings document?

A. Criminal fraud

✓ **B. Contractors negotiating prices using cost estimates they knew were high, with better information than the government**

C. Late deliveries

D. Protest abuse

WHY

Not fraud in the criminal sense; the remedy was mandatory disclosure.

What does TINA require?

A. That the contractor's estimate be correct

✓ **B. That certified cost or pricing data be accurate, complete, and current as of the agreement date, with a price reduction for defects**

C. A fixed profit rate

D. Competition

WHY

A requirement to be complete, not to be right. Facts, not judgments.

What is the main exception to TINA?

A. Contracts under \$1 million

✓ B. Adequate price competition

C. Small business status

D. Cost-type contracts

WHY

Competition substitutes for cost data; commercial items are also exempt.

Why was DCAA created in 1965?

A. To replace contracting officers

✓ B. To consolidate the three services' separate and inconsistent contractor audit organizations into one

C. To audit Congress

D. To set prices

WHY

DCAA advises; the contracting officer decides.

What did Rickover testify that contractors did?

A. Refused audits

✓ B. Used inconsistent accounting to shift costs between contracts and change methods when favorable

C. Overbuilt ships

D. Underbid

WHY

The CAS Board and the nineteen standards were the response.

What do the Cost Accounting Standards require?

A. Specific cost levels

✓ **B. Consistent measurement, assignment, and allocation of costs, disclosed practices, and consistency over time**

C. A profit cap

D. Annual price reductions

WHY

They do not say what costs should be; they say be consistent and allocate causally.

What happened to the CAS Board in 1980?

A. It was expanded

✓ **B. Congress stopped funding it and it ceased to exist for eight years, with the standards frozen**

C. It moved to DoD permanently

D. It was merged with GAO

WHY

Re-established in OFPP in 1988; the episode explains why changes are slow.

What did the 1990s reforms do to the regime?

A. Repealed it

✓ **B. Raised thresholds, exempted commercial items, and created modified coverage, keeping the core for sole-source non-commercial work**

C. Extended it to all contracts

D. Transferred it to GSA

WHY

A two-tier system: outside for commercial and competitive work, inside for sole source.

Match the piece to the problem it solved:**CORRECT MATCHES**

TINA	Undisclosed cost facts in negotiation
DCAA	Inconsistent audits by three services
CAS	Cost shifting through inconsistent accounting
Thresholds and exemptions	Compliance burden driving commercial firms away

WHY

Disclosure, verification, standardization, and trimming.

Order the generations of the answer:**CORRECT ORDER**

1. Renegotiation of wartime profits after performance
2. Truth in Negotiations Act requires disclosure before agreement
3. DCAA created to verify; CAS Board created to standardize
4. Thresholds raised and commercial exemptions added

WHY

Renegotiation, TINA, DCAA and CAS, then thresholds and exemptions.

What is the practical defense against a defective pricing finding?

A. A low price

✓ **B. Sweeps before certification, a written disclosure index, and disclosing anything that could matter even if it cuts against the contractor**

C. Refusing to certify

D. A fixed-price contract

WHY

Disclosing a lower quote and arguing for a higher price on other grounds complies; hiding it does not.

WHY THE RULES EXIST: A HISTORY OF DEFENSE ACQUISITION · LESSON 4

The 1990s Reforms: Commercial Items, Simplified Acquisition, and the Push to Buy Like a Business

22 min

The decade that tried to undo some of the 1980s: the post-Cold War drawdown and the "Last Supper" that consolidated the industrial base, the Section 800 Panel, the Federal Acquisition Streamlining Act of 1994 and the Clinger-Cohen Act of 1996, FAR Part 12 commercial items and what the commercial exemption really buys, the simplified acquisition threshold, past performance becoming an evaluation factor, and why the reforms both worked and created the consolidation problem we live with.

A Different Problem

The 1980s wrote rules to stop abuse. By the early 1990s the complaint had reversed: the Cold War was over, budgets were falling, commercial technology was moving faster than defense technology for the first time in a generation, and the companies that made the best computers, software, and electronics would not sell to the government because the compliance cost was not worth it. A defense system took fifteen years to field while a commercial product cycle ran eighteen months. The reform argument was no longer about preventing theft; it was that the rules themselves had become the problem, cutting the Department off from the commercial economy and making everything slow and expensive. The 1990s statutes are the answer to that argument, and they are the reason FAR Part 12 exists.

IN PLAIN TERMS

When a company buys laptops for its staff, it picks a model from a catalog, pays the market price, and usually accepts the seller's standard terms. It does not ask the manufacturer to open its books, follow special accounting rules, or sign dozens of custom clauses. FAR Part 12 lets the government buy commercial products and services the same way: market prices instead of certified cost data, a short clause list, and often the company's own terms, once the contracting officer determines the item is commercial.

The Section 800 Panel

Congress created an advisory panel in 1991 and gave it an unusual charter: review every statute governing defense acquisition and recommend which to keep. The panel, working for two years with government and industry members, reviewed roughly six hundred provisions and recommended repealing or substantially amending several hundred of them. Its core finding was that the accumulated law had produced a government-unique way of buying that no commercial company would recognize, that the uniqueness had no benefit for commercial products, and that the Department should be able to buy a computer the way a

company buys a computer. The 1993 report was the blueprint. Almost every element of FASA traces to a specific Section 800 Panel recommendation, which is worth knowing because it is the last time anyone systematically reviewed the whole body of acquisition law until the 2026 FAR rewrite.

FASA 1994: What Changed

The Federal Acquisition Streamlining Act did five things that you still work with. It established a preference for commercial items and, with the follow-on Clinger-Cohen provisions, created FAR Part 12: a streamlined contract format, a short list of clauses (only those required by statute or executive order for commercial items), and exemption from cost accounting standards and, ordinarily, certified cost or pricing data. It created the simplified acquisition threshold, below which a set of much lighter procedures apply and acquisitions are reserved for small business. It created the micro-purchase threshold and the purchase card, which moved millions of small transactions out of the contracting office entirely. It made past performance a standard evaluation factor and directed that it be collected, which produced CPARS. And it repealed or amended hundreds of certifications, reports, and requirements that had accumulated since 1947.

EXAMPLE (ILLUSTRATIVE)

A program office has three purchases this quarter (check the current threshold amounts before relying on them). First, toner and binders costing less than the micro-purchase threshold: an employee buys them with the government purchase card, with no competition requirement and no contracting office involvement. Second, commercial test equipment priced between the micro-purchase threshold and the simplified acquisition threshold (SAT): simplified procedures apply, competition is informal, the clause list is short, and the buy is reserved for small business. Third, a multi-year support contract well above the SAT: the full process applies. Same office, same quarter, three very different levels of effort, set entirely by where each purchase falls against the thresholds.

What the Commercial Exemption Actually Buys

REQUIREMENT	NON-COMMERCIAL CONTRACT	FAR PART 12 COMMERCIAL
Certified cost or pricing data	Required above threshold absent competition	Not required; price reasonableness from market data
Cost Accounting Standards	Applies above thresholds	Exempt
Clause list	Dozens of FAR and DFARS clauses	A short statutory and executive-order list
Contract format	Uniform Contract Format, Sections A through M	Streamlined format; the company's terms often incorporated
Government audit of costs	Common on cost-type work	Generally not; the price is the price
Data rights	DFARS categories by funding source	Ordinarily the company's standard commercial license
The catch	None	The contracting officer must determine the item is commercial, and DoD scrutinizes that determination

The Last Supper and the Industrial Base

In 1993, Deputy Secretary of Defense William Perry hosted defense industry chief executives at a dinner in the Pentagon and delivered a message that became known as the Last Supper: the post-Cold War budget would sustain perhaps half the existing prime contractors, and the Department would not prop up the rest. It expected consolidation and would approve it. The industry complied. Over the following decade, dozens of major defense firms merged into the handful of primes that exist today, with the Department paying restructuring costs and approving most deals. The stated goal (a smaller, financially healthy industrial base) was achieved. The unstated cost is the market structure the business module describes: a small number of primes, limited competition in many segments, and sole-source sustainment on most major systems. Many of the competition problems that acquisition policy has fought since are downstream of a decision made at a dinner.

KEEP THE EVIDENCE THAT YOU SELL COMMERCIALY

FAR Part 12 is the most valuable thing in the FAR for a commercial company, and the hardest to get. The contracting officer must determine that what you sell is a commercial product or service, and on the defense side that determination is scrutinized, second-guessed, and sometimes reversed years later by auditors who argue that the government-specific configuration was not really commercial. If you sell commercially, keep the evidence: price lists, commercial sales records, standard terms, customer lists. The determination rests on facts you have and the contracting officer does not.

One sentence to teach your team: **the 1990s reforms concluded that government-unique buying rules were cutting the Department off from commercial technology, and answered with a commercial exemption, simplified thresholds, and past performance, while a parallel decision to consolidate the industrial base created the concentrated prime market that shapes competition today.**

INTERMEDIATE**Clinger-Cohen and the End of Central IT Procurement**

The Brooks Act of 1965 had given the General Services Administration central authority over federal computer purchases, with a protest forum of its own; by the 1990s it was a bottleneck that guaranteed the government bought obsolete technology. Clinger-Cohen repealed it, moved IT acquisition to the agencies, and created chief information officers responsible for IT investment, architecture, and performance. It also made further competition changes: efficient competition standards, expanded use of commercial items, and the authority behind the government-wide acquisition contracts the contracts module describes. The modern pattern of buying IT through agency vehicles and GWACs, with a CIO governing the portfolio, is Clinger-Cohen.

Past Performance and the Birth of CPARS

Before FASA, a contractor that performed badly on one contract was usually free to win the next, because past performance was not a formal evaluation factor and agencies had no systematic record. FASA directed that past performance be considered and that information be collected. The result, after a decade of evolution, is CPARS: the government-wide system in which contracting officers and program managers record annual performance assessments that competitors can see when evaluating proposals. The contracts module explains how to write and respond to a CPARS; the point here is that the single most consequential lever the government has over contractor behavior on an active contract was created by a streamlining statute, as a market mechanism rather than a rule.

Thresholds as Policy

The simplified acquisition threshold and the micro-purchase threshold do more work than any other numbers in the system. Below the micro-purchase level, a government employee with a purchase card buys directly with no competition requirement, which moved an enormous volume of small transactions out of contracting offices. Between micro-purchase and the SAT, simplified procedures apply, competition is required but informal, the clause list is short, and the acquisition is reserved for small business, which is why small businesses win so many awards by count and so few by dollar. Above the SAT the full apparatus applies. Every few years Congress raises these thresholds, and each increase moves a band of transactions from heavy process to light. When someone tells you acquisition reform never accomplishes anything, the thresholds are the counterexample.

What the Reforms Did Not Reach

The 1990s statutes were aimed at buying products, especially commercial products, and they worked reasonably well for that. They did not address three things that came to dominate the next twenty years. Services, which grew to roughly half of defense contract spending, were bought using rules designed for products, with no milestone structure and weak requirements discipline, until the services acquisition reforms of the 2000s. Major weapon system development, where cost and schedule growth continued unaffected, because the problems there are requirements and technology risk rather than procurement process. And the industrial base, where consolidation proceeded on its own logic. The next lessons cover what happened in each.

ADVANCED

The Commercial Item Fight

The commercial exemption depends on a definition, and the definition has been contested for thirty years. Industry reads it broadly: an item sold commercially, or of a type sold commercially, or a minor modification of one, including items sold to state and local governments, and services sold at catalog or market prices. Auditors and some in Congress read it narrowly, arguing that items sold only to the government in tiny commercial quantities, or configured specifically for defense, are not commercial and that the exemption lets contractors escape cost scrutiny on sole-source items. Congress has amended the definition repeatedly in both directions, split it into commercial products and commercial services, and added requirements for the contracting officer to obtain data other than certified cost or pricing data when market prices cannot be established. The practical consequence for a company: the determination is made by the contracting officer on the facts you supply, it can be challenged later, and the documentation that supports it is worth building before you need it.

Consolidation's Long Shadow

The industrial base decisions of the 1990s produced effects that acquisition policy has spent thirty years managing. With few primes, competition at the prime level for major systems is often between two firms or one, so the government relies on competition at the subsystem level, on data rights to enable competed sustainment, and on non-traditional entrants to introduce alternatives. Vertical integration means a prime may compete for a system while supplying components to its competitor, which creates the organizational conflict of interest rules. And a prime that is the only source for a fielded system holds durable pricing power over decades of sustainment, which is why the lifecycle module treats data rights as a lifecycle cost decision. Recent policy attention to the defense industrial base, supply chain fragility, and new entrants is, in effect, an attempt to reverse a concentration that the Department requested.

The 1990s Reforms and What They Left

From recommendation to rule.

Section 800 Panel (1993) BLUEPRINT

Reviewed roughly six hundred statutes; recommended mass repeal and a commercial preference.

The last systematic review of acquisition law before the 2026 FAR rewrite.

FASA (1994) STREAMLINE

Commercial item preference and Part 12; simplified acquisition and micro-purchase thresholds; past performance as a factor.

The thresholds and the commercial exemption are the durable pieces.

Clinger-Cohen (1996) IT

Repealed central GSA IT authority; created agency CIOs; expanded commercial and competition flexibility.

Why agencies buy IT through their own vehicles and GWACs.

The Last Supper (1993) INDUSTRY

Consolidation encouraged and approved; today's prime structure created.

The competition and sustainment problems downstream of it.

WHAT SENIOR PMS DO DIFFERENTLY

Contracting officers who use Part 12 well document the commercial determination with real market evidence so it survives later review, and they use the thresholds deliberately rather than defaulting to full process. Contractor leaders who sell commercially keep the sales records, price lists, and standard terms that support a commercial determination, and understand that the exemption is a fact question they can win or lose on documentation.

BUILD ON THIS

- **Contract Types** Where commercial fixed-price fits
- **How GovCon Companies Are Valued** The market structure consolidation produced
- **Services, Contingency, and the Growth of the Contracted Force** What the reforms did not reach

Key Terms

Section 800 Panel

The advisory panel created by the 1991 defense authorization act to review every defense acquisition law. Its 1993 report recommended repealing or amending hundreds of statutes and is the intellectual basis for the 1990s reforms.

FASA (1994)

The Federal Acquisition Streamlining Act: repealed or modified hundreds of provisions, established a preference for commercial items, created the simplified acquisition threshold and the micro-purchase threshold, and made past performance an evaluation factor.

Clinger-Cohen Act (1996)

Formally the Federal Acquisition Reform Act and the Information Technology Management Reform Act: repealed the Brooks Act's central IT procurement authority, created agency chief information officers, and further loosened competition and commercial rules.

Commercial Item / Commercial Product and Service

An item customarily used by the general public and sold in substantial quantities in the commercial marketplace, or a minor modification of one. Buying one under FAR Part 12 exempts the deal from most cost-based requirements.

FAR Part 12

The commercial acquisition part: a streamlined solicitation and contract format, a short clause list, and exemption from CAS and (usually) certified cost or pricing data.

Simplified Acquisition Threshold (SAT)

The dollar level below which simplified procedures apply: fewer clauses, less documentation, reserved for small business. Raised repeatedly; verify the current figure.

Micro-Purchase Threshold

The much lower level below which a purchase can be made without competition, typically by government purchase card.

The Last Supper (1993)

The dinner at which Deputy Secretary of Defense William Perry told defense industry executives that the post-Cold War budget would support far fewer prime contractors, triggering the mergers that produced today's primes.

Past Performance

How well a contractor performed previous contracts, made a standard evaluation factor by FASA and recorded in CPARS. Before 1994 it was rarely evaluated formally.

Commercial Item Determination

The contracting officer's documented finding that an item meets the commercial definition. The gate to Part 12, and the thing DoD has fought about ever since.

Knowledge Check

What was the reform argument of the early 1990s?

- A. Contractors were stealing
- ✓ B. The rules themselves had become the problem, cutting the Department off from commercial technology and making everything slow
- C. Competition was excessive
- D. Budgets were too large

WHY

A different problem from the 1980s, and it produced a different kind of statute.

What did the Section 800 Panel do?

- A. Investigated fraud
- ✓ B. Reviewed roughly six hundred acquisition statutes and recommended repealing or amending several hundred
- C. Wrote the FAR
- D. Consolidated the industry

WHY

The blueprint for FASA and the last systematic review before the 2026 rewrite.

What does FAR Part 12 exempt a commercial acquisition from?

- A. Competition
- ✓ B. Cost Accounting Standards and ordinarily certified cost or pricing data, with a short clause list and streamlined format
- C. Past performance evaluation
- D. Protests

WHY

The price is established from the market rather than from the contractor's costs.

What happens below the micro-purchase threshold?

A. Sealed bidding

✓ B. A purchase can be made without competition, typically by government purchase card

C. Full source selection

D. Only small business awards

WHY

It moved an enormous volume of small transactions out of contracting offices.

What is reserved for small business between micro-purchase and the SAT?

A. Nothing

✓ B. The acquisition itself is reserved for small business

C. Only services

D. Only supplies

WHY

Why small businesses win many awards by count and fewer by dollar.

What was the Last Supper?

A. A budget hearing

✓ B. A 1993 dinner at which Deputy Secretary Perry told industry the budget would support far fewer primes, triggering consolidation

C. A protest decision

D. A commercial item ruling

WHY

The Department encouraged and approved the mergers that produced today's primes.

What did FASA create that became CPARS?

A. The protest system

✓ **B. The direction that past performance be an evaluation factor and that information be collected**

C. Cost accounting standards

D. The SAT

WHY

A market mechanism rather than a rule, and the strongest lever over contractor behavior.

What did Clinger-Cohen repeal?

A. CICA

✓ **B. The Brooks Act's central GSA authority over federal computer purchases**

C. TINA

D. The False Claims Act

WHY

IT acquisition moved to agencies with CIOs governing the portfolio.

Which area did the 1990s reforms largely fail to reach?

A. Commercial products

✓ **B. Services acquisition, major weapon system development, and the industrial base**

C. IT

D. Small purchases

WHY

Services grew to roughly half of contract spending under rules designed for products.

Match the reform to what it produced:**CORRECT MATCHES**

FASA commercial preference	FAR Part 12 and the commercial exemption
FASA past performance direction	CPARS
Clinger-Cohen	Agency CIOs and IT bought through agency vehicles
The Last Supper	The consolidated prime contractor market

WHY

Each 1990s action left a specific feature of today's system.

Order the 1990s sequence:**CORRECT ORDER**

1. Congress creates the Section 800 Panel
2. The Last Supper; the Panel reports
3. Federal Acquisition Streamlining Act enacted
4. Clinger-Cohen Act enacted

WHY

Panel created 1991, Last Supper and panel report 1993, FASA 1994, Clinger-Cohen 1996.

Why is the commercial item determination contested?

A. It costs money

✓ B. Industry reads the definition broadly and auditors narrowly, because the exemption removes cost scrutiny on sole-source items

C. It requires a protest

D. It is classified

WHY

Keep the sales records and price lists that support the determination before you need them.

WHY THE RULES EXIST: A HISTORY OF DEFENSE ACQUISITION · LESSON 5

Iraq, Afghanistan, and the Contracted Force: How Services Became Half the Budget

22 min

The two decades in which contractors became a permanent part of military operations: the post-Cold War drawdown that pushed support functions to industry, LOGCAP and the cost-plus logistics model, the reconstruction contracting failures, the Commission on Wartime Contracting findings, the growth of services to roughly half of contract spending, the inherently governmental line and where it was crossed, and the services acquisition rules that came out of it.

How It Happened

The military that fought in Iraq and Afghanistan was about a third smaller than the one that existed in 1990, and it had shed most of its organic support: the cooks, laundry, fuel handlers, truck drivers, maintainers, and base operators who used to wear uniforms were cut in the drawdown on the theory that support could be bought when needed. When two long wars started, that theory was tested. The Department bought the support, at scale, from contractors, under umbrella logistics contracts designed for short contingencies and used for a decade. At peak, contractor personnel in theater roughly equaled or exceeded uniformed personnel. Services grew from a minority of contract spending to roughly half. None of this was a policy decision made at one moment; it was the accumulated consequence of force structure choices and two wars, and it changed what the acquisition system is mostly used for.

IN PLAIN TERMS

Picture a family that sells its second car because rideshare can cover the occasional trip. That works until one parent takes a job across town for years. Now the family pays for two rides a day, nobody checks whether each trip was needed, and the monthly bill grows quietly. The military did something similar: it cut its uniformed support in the drawdown on the theory that support could be bought when needed, then fought two long wars and bought it at scale under contracts designed for short contingencies.

LOGCAP and the Cost-Plus Logistics Model

LOGCAP predates the wars but defined them: an umbrella contract under which a contractor provides whatever base support a deployed force needs, priced as cost-reimbursement with award fee, with task orders issued as requirements emerge. The design is right for the problem: no one can specify in advance how many dining facilities a war will need or where. The consequences were also predictable. Cost-type contracts require oversight to control cost, oversight requires government people in theater, and the government did not have them: contracting officer representatives were collateral-duty officers with other

jobs, audits lagged years behind, and requirements were generated by units with no cost visibility. The result was the pattern the wartime commission documented: not usually fraud, but requirements nobody validated, services nobody cancelled when the need ended, and prices nobody checked. The finance module's oversight lesson and the contracts module's COR material are the institutional answer to what went wrong here.

The Commission on Wartime Contracting

Congress created a commission in 2008 to examine wartime contracting in Iraq and Afghanistan. Its final report in 2011 estimated that of roughly \$200 billion in contract spending, somewhere between \$31 and \$60 billion had been lost to waste and fraud. Its findings were institutional rather than prosecutorial: the government deployed without enough contracting officers and oversight personnel; it used cost-type contracts without the oversight those contracts require; it built facilities and programs without sustainment plans, so that finished projects were abandoned; it let competition lapse in favor of speed for years at a time; and it had no doctrine for contractors as part of the force. The recommendations shaped subsequent law: more contingency contracting personnel, a deployable contracting capability, planning for sustainment before construction, and clearer rules on what contractors may do.

What Went Wrong and What It Produced

PROBLEM	EXAMPLE	RULE OR PRACTICE THAT FOLLOWED
Not enough oversight personnel	One COR nominally overseeing hundreds of millions in task orders	COR certification and training requirements; contracting officer representative programs
Cost-type contracts without cost control	Requirements generated with no visibility into cost	Requirements validation; SRRBs; emphasis on definitizing work
Build with no sustainment plan	Facilities completed and immediately abandoned	Sustainment planning required before construction commitment
Competition lapsing for speed	Sole-source extensions for years	Bridge contract scrutiny; competition advocate attention
No doctrine for contractors in operations	Status, protection, and accountability unresolved	Contractor management doctrine; Total Force policy; theater business clearance
Undefinitized work	Work started with terms and price settled later or never	Limits on undefinitized contract actions and definitization deadlines

The Inherently Governmental Line

As contractor support grew, it moved closer to functions that the government must perform itself. Contractors wrote requirements documents for other contracts, sat on evaluation support teams, drafted the government's positions, managed other contractors, and in some cases performed security functions with

the authority to use force. Policy responded with a framework: inherently governmental functions (command and control, the exercise of discretion in committing public funds, contract award, and similar) must be performed by government employees; functions closely associated with them may be contracted but require enhanced oversight and a government official who owns the decision. The practical test in an office is simple and worth remembering: a contractor may analyze, recommend, and prepare, but a government employee must decide, sign, and own. The contracts module's A&AS content is the working version of this line.

THE LINE IS ENFORCED BY PEOPLE, NOT SYSTEMS

If you work in a program office today, look around: a significant share of the people supporting the program are contractors, and the government staff is smaller than the work requires. That is the structural legacy of this era, and it creates a daily judgment call. The contractor analyst who drafts your decision memo is doing legitimate closely-associated work; the same analyst deciding what the memo recommends, unsupervised, is not. The line is not enforced by a system. It is enforced by government people who know where it is.

The Shape of the Shift

About half

Of DoD contract obligations are services
Up from a minority before the 1990s

Roughly 1:1

Contractor to uniformed personnel in theater at peak
Iraq and Afghanistan

\$31 to \$60B

Estimated waste and fraud, wartime contracting
Commission on Wartime Contracting, 2011

Decades

That short-contingency contract structures were used
The design assumption that failed

One sentence to teach your team: **a smaller force with its support contracted out fought two long wars, so services became half of contract spending and contractors became structurally part of operations, and the rules that followed are about oversight capacity, requirements validation, and keeping decisions in government hands.**

INTERMEDIATE

Why Services Were Harder Than Products

The acquisition system was built to buy things: a requirement, a design, a test, a production run, a fielded item with a sustainment tail. Services fit none of it. There is no milestone structure, no design review, no physical acceptance. Requirements are written as levels of effort or as performance standards that are hard to measure. Quality is judged by whether the customer is satisfied, which is not a metric. And the same contract can be renewed for a decade with nobody asking whether the need still exists, because there is no

production decision that forces the question. The preaward module's services lesson describes the fixes that emerged: performance work statements with measurable standards, quality assurance surveillance plans, SRRBs to validate that a service is still needed, and tradecraft guidance for services acquisition. They are recent, and they exist because services outgrew the system that was supposed to govern them.

Undefinitized Contract Actions

One wartime practice deserves its own attention because it persists: starting work before the terms and price are settled. An undefinitized contract action (a letter contract, an unpriced order, a change ordered before negotiation) lets a contractor begin immediately, which is exactly right when the need is urgent. It also means the government negotiates the price after the contractor has already spent money and after any competitive pressure has evaporated. The wartime experience produced statutory limits: definitization deadlines, caps on the amount that may be obligated before definitization, and profit adjustments reflecting the reduced risk the contractor bore. When a program office today is told to definitize within a set period, the rule is a wartime lesson written down.

Contractors in the Force, Formally

The wars forced the Department to write down what contractors are in an operation. The answers came in doctrine and policy: contractors accompanying the force have a defined legal status and a chain of accountability; combatant commanders have authority over contractor activities in theater through contract terms rather than orders; theater business clearance processes control which contracts operate where; and contractor personnel are counted in force planning. Private security contractors received their own rules after incidents in Iraq raised questions about the use of force by non-military personnel. The Total Force concept, which counts military, civilian, and contractor personnel together, is the doctrinal recognition that the Department cannot operate without industry personnel forward.

The Oversight Workforce Problem, Unsolved

Nearly every finding from this era traces back to one thing: not enough government people to oversee the work. The Department responded with acquisition workforce growth funds, COR certification requirements, and expanded contingency contracting capacity. The structural problem remains: the work grew faster than the workforce, contractor support fills the gap, and each additional contract requires government oversight that the same shortage makes hard to provide. This is worth knowing for a practical reason. When you are a COR with too many task orders, or a program manager with two government staff and twenty contractor support personnel, you are living inside an unresolved policy problem, and the right response is to prioritize oversight where the money and the risk are, document what you cannot cover, and raise it rather than pretending the coverage exists.

ADVANCED

Reconstruction and the Sustainment Lesson

The reconstruction programs produced the era's most expensive category of waste: clinics, power plants, schools, and police facilities built with no plan or capacity for the host nation to operate them, some never used. The special inspectors general for Iraq and Afghanistan reconstruction documented the pattern repeatedly. The lesson generalizes well beyond reconstruction and is the same one the lifecycle module teaches about weapon systems: the decision to build commits someone to operate and sustain, the operating cost dwarfs the build cost over time, and a program that cannot name who will sustain the thing and with what money has not finished planning. Requirements that now force sustainment planning before a construction commitment came from finished buildings standing empty.

What This Era Means for a Contractor Today

Three things carry forward. First, services contracts are the bulk of the market, they are recomputed every few years, and they are won and lost on price and past performance rather than technology, which the capture module explains. Second, the oversight apparatus built after the wars is now standard: CORs with certifications, QASPs with measurable standards, surveillance, and CPARS ratings that follow the company. A contractor that treats the QASP as the definition of the job rather than as paperwork tends to keep the contract. Third, the inherently governmental line is enforced unevenly, and a contractor employee who is quietly making government decisions is exposed even though the government asked them to. The professional move is to write the recommendation, name the decision maker, and get the signature.

Findings and Their Modern Descendants

What the wartime experience wrote into today's rules.

Deploy with contracting capacity **WORKFORCE**

Contingency contracting force structure, COR certification, deployable contracting capability.

Still short of the need; the structural problem persists.

Validate services requirements **REQUIREMENTS**

SRRBs, performance work statements with measurable standards, QASPs.

The preaward module's services lesson is this, operationalized.

Definitize quickly **PRICING**

Limits and deadlines on undefinitized contract actions; profit adjusted for reduced risk.

Negotiating after the money is spent is negotiating from behind.

Plan sustainment before building LIFECYCLE

Sustainment planning required before construction commitments.

Empty clinics taught the same lesson as unsustainable weapon systems.

Keep decisions in government hands LINE

Inherently governmental framework; enhanced oversight for closely associated functions.

Contractors analyze and recommend; government employees decide and sign.

WHAT SENIOR PMS DO DIFFERENTLY

Government leaders who manage services well validate that the requirement still exists before every renewal, write measurable standards and actually surveil them, prioritize oversight where the money and risk are, and keep the decision authority visibly in government hands. Contractor leaders treat the QASP as the definition of the job, keep their people on the analyze-and-recommend side of the line, and build companies that can win a services recompetes on performance and price.

BUILD ON THIS

- **Services Acquisition** The rules that came out of this era
- **Contract Administration & COR** The oversight role the wars made essential
- **Sustainment and O&S Cost** The same lesson, applied to systems

Key Terms

LOGCAP

The Logistics Civil Augmentation Program: the Army's umbrella contract for contractor logistics support to deployed forces (dining facilities, housing, fuel, laundry, base operations), executed in Iraq and Afghanistan at a scale of tens of billions of dollars.

Contingency Contracting

Contracting in support of military operations in an austere or hostile environment, under authorities and thresholds that differ from peacetime.

Inherently Governmental Function

A function so intimately related to the public interest that it must be performed by government employees: command and control of military operations, the exercise of discretion in spending public money, contract award decisions, and similar.

Closely Associated With Inherently Governmental

Work that is not itself inherently governmental but comes close enough that it requires enhanced government oversight, such as supporting acquisition planning, drafting requirements, or evaluating other contractors.

Commission on Wartime Contracting (2008 to 2011)

The congressional commission that examined contracting in Iraq and Afghanistan and estimated that a large fraction of the roughly \$200 billion spent was lost to waste and fraud.

Contractors on the Battlefield

The policy and doctrine problem of contractor personnel deployed alongside forces: status, protection, accountability, and the fact that at points contractors outnumbered uniformed personnel in theater.

Cost-Plus-Award-Fee at Scale

The contract structure used for much contingency logistics: costs reimbursed with fee tied to performance ratings, which worked for flexibility and failed for cost control when oversight was thin.

Services Requirements Review Board (SRRB)

The review body DoD established to validate service requirements above thresholds, the services counterpart to a milestone decision.

Contracted Advisory and Assistance Services (A&AS)

Contractor support to government offices: analysis, engineering support, program management support. The category that grew most and that sits closest to the inherently governmental line.

Total Force

The doctrine that active, reserve, civilian, and contractor personnel together constitute the Department's workforce, formalized after contractors became structurally necessary to operations.

Knowledge Check

Why did contractors become structurally necessary to operations?

- A. A single policy decision
- ✓ B. The post-Cold War drawdown cut organic support functions on the theory that support could be bought when needed, and then two long wars tested that theory
- C. Congress required it
- D. Contractors were cheaper

WHY

An accumulated consequence of force structure choices, not one decision.

What is LOGCAP?

- A. A weapon program
- ✓ B. An umbrella contract for contractor logistics support to deployed forces, priced cost-reimbursement with award fee and executed through task orders
- C. A budget account
- D. A security clearance program

WHY

The design fits unpredictable requirements; it requires oversight the government could not supply at scale.

What did the Commission on Wartime Contracting estimate?

- A. That contracting was efficient
- ✓ B. That between roughly \$31 and \$60 billion of about \$200 billion was lost to waste and fraud
- C. That contractors were unnecessary
- D. That costs were under control

WHY

Its findings were institutional: oversight capacity, requirements, sustainment, competition, and doctrine.

Which function is inherently governmental?

A. Drafting an analysis

✓ **B. The exercise of discretion in committing public funds and making contract award decisions**

C. Preparing a briefing

D. Collecting data

WHY

Contractors may analyze, recommend, and prepare; government employees decide, sign, and own.

What is a function closely associated with inherently governmental work?

A. Janitorial services

✓ **B. Work such as supporting acquisition planning or drafting requirements, which may be contracted but requires enhanced government oversight**

C. Command of forces

D. Contract award

WHY

The A&AS category sits here and grew the most.

Why were services harder for the acquisition system than products?

A. They cost more

✓ **B. No milestone structure, no design review, no physical acceptance, hard-to-measure standards, and no production decision that forces a re-examination of need**

C. They involve more contractors

D. They are classified

WHY

PWSs, QASPs, and SRRBs are the fixes that emerged.

What is the risk of an undefinitized contract action?

A. Slower start

✓ **B. The government negotiates price after the contractor has spent money and competitive pressure is gone**

C. Higher competition

D. Automatic protest

WHY

Statutory definitization deadlines and obligation caps came from wartime experience.

What was the most expensive category of reconstruction waste?

A. Fuel

✓ **B. Facilities built with no plan or host-nation capacity to operate and sustain them**

C. Salaries

D. Transportation

WHY

The same lesson the lifecycle module teaches: the decision to build commits someone to sustain.

What single factor underlies most findings from this era?

A. Contractor greed

✓ **B. Not enough government people to oversee the work**

C. Bad technology

D. Weak statutes

WHY

The structural problem persists; prioritize oversight, document gaps, and raise them.

Match the wartime problem to the rule it produced:**CORRECT MATCHES**

Thin oversight of task orders	COR certification and training requirements
Services renewed without re-examining need	Services requirements review boards
Work started before terms were settled	Definitization deadlines and obligation caps
Facilities built and abandoned	Sustainment planning before construction commitment

WHY

Each finding became a modern requirement.

Order the sequence:**CORRECT ORDER**

1. Post-Cold War drawdown cuts organic support functions
2. Two long wars drive contracted support to unprecedented scale
3. Commission on Wartime Contracting documents waste and institutional causes
4. Oversight, requirements validation, and definitization rules follow

WHY

Drawdown, wars and contracted support at scale, commission findings, rules.

For a contractor employee near the inherently governmental line, what is the professional move?

A. Make the decision if asked

✓ **B. Write the recommendation, name the decision maker, and get the signature**

C. Refuse the task

D. Ask for a waiver

WHY

The line is enforced by people who know where it is, and the exposure is the employee's even when the government asked.

WHY THE RULES EXIST: A HISTORY OF DEFENSE ACQUISITION · LESSON 6

Programs That Failed and the Laws They Produced: A-12, Comanche, FCS, and Nunn-McCurdy

24 min

The major program failures that shaped acquisition law, and what each actually teaches: the A-12 cancellation and fixed-price development, Comanche and requirements that outran technology, the Future Combat Systems and the perils of a system of systems, the Nunn-McCurdy breach regime, the Weapon Systems Acquisition Reform Act of 2009 and its emphasis on cost estimating and technology readiness, and the pattern common to nearly every failure.

The Pattern Under the Stories

Major program failures make good stories, and the stories usually focus on blame. The useful thing is the pattern, and it is remarkably consistent. A program starts with requirements set before anyone knows whether the technology can meet them; the cost estimate is built by people who want the program to be approved; commitments are made to production before development is finished; the technology turns out to be harder than assumed; cost and schedule grow; the program is restructured, requirements are cut, quantities are reduced, unit cost rises further; and eventually it is either cancelled after years of spending or delivered late and diminished. Every major reform statute of the last thirty-five years is an attempt to interrupt that sequence at one of its steps. Knowing the sequence is more useful than knowing the programs, but the programs are how the sequence became law.

IN PLAIN TERMS

Picture a kitchen remodel. You pick features before checking whether the old house's wiring can carry them, accept the lowest quote because it gets the project approved, and order cabinets before the plans are final. Then the walls come open, the wiring needs replacing, and the cost climbs. You cut the island, keep the expensive appliances, and pay more per square foot for less kitchen. Major program failures follow the same sequence: requirements before the technology is understood, an optimistic estimate, early commitment, then growth and cuts.

The A-12 and the End of Fixed-Price Development

In the late 1980s the Navy contracted for a stealth carrier-based attack aircraft on a fixed-price incentive development contract, deliberately shifting the risk of development to the contractor team. The technology was far less mature than assumed, weight and cost grew, the schedule slipped, and the contractors absorbed enormous losses while the Navy received no aircraft. In January 1991 the Secretary of Defense cancelled

the program for default. The resulting litigation over whether the termination should have been for convenience ran for more than twenty years. The programmatic lesson was learned faster than the litigation ended: you cannot buy development of an immature technology at a firm price, because neither side can estimate what they are agreeing to, and a contractor facing unlimited loss will cut scope, litigate, or fail. The contracts module's guidance that fixed-price is wrong for genuine development uncertainty is the A-12, and it has been relearned in later programs that tried again.

Comanche: Requirements That Outran the World

The Army began developing the Comanche reconnaissance and attack helicopter in the early 1980s to counter Soviet armor in Europe. Over the next two decades the requirement grew (stealth, sensors, weapons, digital integration), the technology proved hard, the unit cost rose, the quantities fell, and the world it was designed for ceased to exist. It was cancelled in 2004 with roughly seven billion dollars spent and no fielded aircraft, in favor of buying more existing helicopters and unmanned systems. The lesson is about time: a development program long enough to outlive its threat will be cancelled regardless of how well it is managed, and requirements added mid-development extend the timeline that makes cancellation likely. This is the argument behind incremental delivery, time-certain development, and the software pathway's insistence on fielding capability early and often.

Future Combat Systems: Interdependence as Risk

FCS was the Army's attempt to modernize everything at once: a family of manned and unmanned ground vehicles, sensors, and munitions, tied together by a network that would let a lighter force fight as effectively as a heavy one. The concept was coherent and the execution was impossible. Each element depended on the network; the network depended on technologies that did not exist at the maturity assumed; and because everything was interdependent, a delay anywhere delayed everything. The program used a lead systems integrator, giving a contractor team management authority over the program including other contractors, which blurred the line between industry execution and government judgment. FCS was restructured and then cancelled around 2009 after tens of billions of dollars, with some elements continuing separately. Two rules came out of it: restrictions on lead systems integrator arrangements, and a durable skepticism of system-of-systems programs where everything must work for anything to work.

Four Failures and Their Lessons

PROGRAM	WHAT HAPPENED	ROOT CAUSE	RULE OR PRACTICE TODAY
A-12 (cancelled 1991)	Fixed-price stealth aircraft development; cancelled for default; decades of litigation	Fixed-price contract for immature technology	Cost-type for genuine development; risk matched to contract type
Comanche (cancelled 2004)	Two decades of development; requirements grew; threat changed; no aircraft fielded	Development timeline longer than the strategic environment	Incremental delivery; time-certain development; requirements discipline
FCS (cancelled ~2009)	System of systems; network immaturity; everything interdependent	Interdependence plus immature technology plus LSI arrangement	LSI restrictions; skepticism of all-at-once modernization
Multiple programs, ongoing	Unit cost growth past thresholds	Optimistic estimates; immature technology at milestone decisions	Nunn-McCurdy reporting; CAPE independent estimates; technology readiness assessments

Nunn-McCurdy: Making Cost Growth Visible

Congress could not manage programs, but it could require them to report. The Nunn-McCurdy provisions require a major program to notify Congress when program acquisition unit cost or procurement unit cost grows beyond defined percentages over the current baseline or the original baseline. Growth past the lower threshold is a significant breach requiring notification and explanation; growth past the higher threshold is a critical breach, and the program is terminated unless the Secretary certifies to Congress that the capability is essential to national security, there is no alternative providing equal capability at less cost, the new cost estimate is reasonable, and the management structure is adequate to control cost. In practice most critical breaches are certified rather than terminated, which critics note. The value is elsewhere: a breach forces a program to be re-estimated honestly and re-justified in public, and the threat of one disciplines baselines. The lifecycle module's lesson on program reviews and the baseline describes how a program manager lives with this.

EXAMPLE (ILLUSTRATIVE)

Program X plans 100 units. Development costs \$3 billion and each unit costs \$70 million to produce, so the total is $\$3\text{B} + (100 \times \$70\text{M}) = \$10\text{B}$, and the program acquisition unit cost is $\$10\text{B} \div 100 = \100 million. The technology proves harder than assumed, and development grows to \$5 billion. To stay affordable, the buy is cut to 60 units. The total is now $\$5\text{B} + (60 \times \$70\text{M}) = \$9.2\text{B}$. That is less money overall, but the unit cost is $\$9.2\text{B} \div 60 \approx \153 million, about 53 percent above the baseline. That rise in unit cost against the baseline is exactly what Nunn-McCurdy measures, and growth past the defined thresholds would require notifying Congress. All numbers here are hypothetical.

OPTIMISM IS REWARDED RIGHT UP UNTIL IT IS NOT

Every program that later breached its baseline had a cost estimate at the start that the people making it believed. The estimates were not usually dishonest; they were optimistic in a system where optimism is rewarded, because the estimate that gets a program approved is the one that is low, and by the time the truth arrives the people who made the estimate have rotated. This is why independent cost estimating exists and why it is resented. If you are ever asked to build an estimate that supports a decision that has already been made, you are standing at the exact point where these programs went wrong.

One sentence to teach your team: **the failures share one sequence, requirements set before the technology is understood, an optimistic estimate, commitment before development is finished, then growth, restructuring, and cancellation, and every reform statute since 1990 is an attempt to break that sequence at one step.**

INTERMEDIATE**WSARA 2009: Attacking the Root Causes**

The Weapon Systems Acquisition Reform Act of 2009 was unusual: rather than adding process, it targeted the specific causes that GAO and the Department had identified in cost growth. It created an independent Director of Cost Assessment and Program Evaluation reporting to the Secretary, so that major program estimates would not come only from the organization that wanted the program. It strengthened developmental testing and systems engineering, which had been hollowed out in the 1990s, and required those functions to be staffed and to report. It required technology readiness assessments before milestone decisions, targeting the finding that programs entering development with immature technology reliably experience cost growth. It required consideration of trade-offs between cost and requirements early. And it directed attention to competition throughout the life of a program, including at the subsystem level. Most of what a program manager does today at a milestone review, including the independent cost estimate and the technology readiness assessment, is WSARA.

Why Technology Readiness Predicts Cost Growth

The most reliable finding in acquisition research is that programs which begin engineering and manufacturing development with technologies at low readiness levels experience substantially more cost and schedule growth than those with mature technologies. The reason is not mysterious: an immature technology has unknown problems, and unknown problems are discovered at the worst possible time, during integration, when changes are most expensive. The policy response is to force technology maturation before the program commits, through prototyping, technology demonstrations, and readiness assessments at milestone decisions. The tension is that maturation takes time and money before there is a

program to fund it, which is why the science and technology community, the innovation units, and prototyping authorities matter to major programs and not only to startups.

The Requirements Side of the Problem

Acquisition reform focuses on the acquisition system, but a large share of failure originates in the requirements process, which is separate. Requirements are validated through the joint process before a program office has to deliver them, often without a cost estimate attached, often written to the most demanding case, and often added to over time as the world changes. A program manager who receives a requirement for a capability that is not technically achievable at a cost anyone will pay has already lost, and the acquisition system will be blamed. The reform response has been to force cost and requirements trade-offs earlier, to require requirements sponsors to participate in cost decisions, and in the newer pathways to allow requirements to evolve with delivered capability instead of being fixed at the start. When you hear that a program failed in acquisition, ask what it was asked to build and whether anyone priced it.

Success Exists, and Looks Boring

Failures are studied because they are instructive and public; successful programs are less visible. They tend to share features: mature technology at the start, requirements held stable or deliberately traded, incremental delivery of useful capability rather than one big drop, a stable program manager with tenure, an honest baseline, and a contract type matched to the actual risk. None of that is exciting. All of it is available to any program willing to be less ambitious at the start and to deliver something sooner. The adaptive acquisition framework, covered in the next lesson, is an attempt to make the boring path the default one.

ADVANCED

The Cancellation Decision and Sunk Cost

The hardest decision in acquisition is to cancel a program that has consumed billions and has constituencies: a service that wants the capability, a contractor whose workforce depends on it, and members of Congress whose districts build it. Comanche and FCS were cancelled because senior leaders decided the money was better spent elsewhere, and both decisions were criticized as wasting what had been spent. The economics are clear and the politics are not: money already spent is irrelevant to whether the remaining investment is worth the remaining benefit, and a program that will cost more than it is worth from here should stop regardless of history. What makes the decision possible in practice is an alternative (Comanche's money went to existing aircraft and unmanned systems) and a leader willing to absorb the criticism. For a program manager, the professional obligation is to make the true cost and schedule visible early enough that the decision can be made on facts, which is what a Nunn-McCurdy breach forces late and a good baseline permits early.

Why the Same Lessons Keep Being Relearned

Fixed-price development has been tried again since the A-12, with similar results on programs where the technology was immature. Ambitious all-at-once modernization has been proposed again since FCS. Optimistic estimates continue to clear milestone reviews. The reasons are structural rather than ignorant: the budget process rewards the program that appears affordable, the requirements process rewards ambition, program managers rotate faster than programs run so nobody owns the consequence, and each generation of leaders arrives believing that the last failure was a management problem rather than a structural one. Understanding this is not cynicism; it is what lets a professional recognize the pattern early in their own program and act, by insisting on an honest estimate, by matching contract type to risk, by pushing for incremental delivery, and by making bad news visible while it is still cheap.

The Sequence, and Where to Interrupt It

Each step of the failure pattern, and the tool that exists to break it.

Requirements set before technology is understood STEP 1

Technology readiness assessments, prototyping, and cost-requirements trades before commitment.

The single best predictor of cost growth is immature technology at development start.

Optimistic cost estimate STEP 2

Independent cost estimates from CAPE and service cost agencies, separate from the advocate.

The estimate that gets a program approved is the one that is low.

Commitment to production before development finishes STEP 3

Milestone criteria, developmental and operational testing, low-rate initial production limits.

Concurrency converts development problems into retrofit costs.

Growth, restructure, quantity cuts STEP 4

Nunn-McCurdy breach reporting and certification; rebaselining with leadership review.

Forces honest re-estimation in public.

Cancellation or diminished delivery STEP 5

Incremental delivery so that something useful is fielded before the decision point arrives.

The best defense against cancellation is having already delivered.

WHAT SENIOR PMS DO DIFFERENTLY

Senior program managers insist on an honest baseline even when a lower number would be approved faster, refuse fixed-price contracts for genuine development uncertainty, mature technology before committing, structure programs to deliver useful capability in increments, and make bad news visible while it is still cheap to act on. They know the failure sequence by heart and watch for their own program entering it.

BUILD ON THIS

- **Program Reviews and the Baseline** Living with Nunn-McCurdy
- **Contract Types** Matching type to risk, the A-12 lesson
- **Cost Estimating** Why independent estimates exist

Key Terms

A-12 Avenger II

The Navy stealth attack aircraft cancelled in 1991 for default after massive cost and schedule overruns on a fixed-price development contract. The subsequent litigation lasted more than two decades.

Fixed-Price Development

Buying the development of an immature technology at a firm price. Repeatedly attempted to shift risk to industry and repeatedly failed, because the risk is technical uncertainty that neither party can price.

RAH-66 Comanche

The Army reconnaissance and attack helicopter cancelled in 2004 after about two decades and billions spent, with requirements that grew as the threat and technology changed around it.

Future Combat Systems (FCS)

The Army's system-of-systems modernization program (manned and unmanned vehicles linked by a network), restructured and cancelled around 2009 after tens of billions, undone by network immaturity and interdependence.

Lead Systems Integrator (LSI)

The arrangement in which a contractor manages an entire program including other contractors, used on FCS. Later restricted because it placed inherently governmental judgment in contractor hands.

Nunn-McCurdy

The statute requiring a program to report to Congress when unit cost grows beyond defined thresholds over the baseline, with a significant breach requiring notification and a critical breach requiring certification or termination.

Critical Breach

Unit cost growth beyond the higher Nunn-McCurdy threshold, requiring the Secretary to certify that the program is essential, there is no alternative, cost estimates are reasonable, and management is adequate, or the program is terminated.

WSARA (2009)

The Weapon Systems Acquisition Reform Act: created an independent cost assessment office, strengthened developmental testing and systems engineering, required technology readiness assessments, and targeted the root causes of cost growth.

CAPE

Cost Assessment and Program Evaluation: the independent office that produces cost estimates for major programs, deliberately separate from the program and the service that wants the program.

Technology Readiness Level (TRL)

A scale for how mature a technology is, from basic principles observed to proven in operations. Starting development with immature technology is the single best predictor of cost growth.

Knowledge Check

What is the common sequence in major program failures?

A. Contractor fraud then cancellation

✓ **B. Requirements set before the technology is understood, an optimistic estimate, commitment before development finishes, growth, restructuring, then cancellation or diminished delivery**

C. Protests then delay

D. Budget cuts alone

WHY

Every reform statute since 1990 tries to break the sequence at one step.

What did the A-12 teach?

A. Stealth does not work

✓ **B. You cannot buy development of an immature technology at a firm price, because neither side can estimate what they are agreeing to**

C. Navy aircraft are too expensive

D. Litigation is fast

WHY

Cancelled for default in 1991; the litigation ran more than two decades.

What is the lesson of Comanche?

A. Helicopters are obsolete

✓ **B. A development program long enough to outlive its threat will be cancelled regardless of management quality**

C. Requirements should be more ambitious

D. Stealth is unaffordable

WHY

The argument behind incremental delivery and time-certain development.

What made Future Combat Systems especially fragile?

A. Its cost alone

✓ **B. Interdependence: everything depended on a network built from immature technology, so a delay anywhere delayed everything**

C. Too few contractors

D. Excessive testing

WHY

It also produced restrictions on lead systems integrator arrangements.

What is a Nunn-McCurdy critical breach?

A. Any cost growth

✓ **B. Unit cost growth past the higher threshold, requiring Secretary certification on essentiality, alternatives, estimate reasonableness, and management, or termination**

C. A schedule slip

D. A protest sustained

WHY

Most are certified rather than terminated; the value is forced honest re-estimation in public.

Why was CAPE created?

A. To manage programs

✓ **B. So that major program cost estimates would not come only from the organization that wants the program**

C. To run source selections

D. To audit contractors

WHY

A WSARA 2009 creation aimed at optimistic estimating.

What is the most reliable predictor of cost growth?

A. Contract type

✓ B. Beginning development with technologies at low readiness levels

C. Contractor size

D. Program office location

WHY

Unknown problems surface during integration, when changes cost the most.

How did WSARA differ from earlier reforms?

A. It added more process

✓ B. It targeted identified root causes: independent cost estimating, systems engineering and developmental testing, technology readiness, and early cost-requirements trades

C. It repealed CICA

D. It focused on small business

WHY

Most of what happens at a milestone review today is WSARA.

What do successful programs tend to share?

A. Large budgets

✓ B. Mature technology at the start, stable or deliberately traded requirements, incremental delivery, stable PM tenure, an honest baseline, and contract type matched to risk

C. Fixed-price development

D. System-of-systems architecture

WHY

Unexciting, and available to any program willing to be less ambitious at the start.

Match the program to its lesson:**CORRECT MATCHES**

A-12	Fixed-price is wrong for genuine development uncertainty
Comanche	A program longer than its threat will be cancelled
Future Combat Systems	Interdependence multiplies immature-technology risk
Nunn-McCurdy	Cost growth must be reported and re-justified

WHY

Contract type, timeline, interdependence, and visibility.

Order the failure sequence:**CORRECT ORDER**

1. Requirements set before the technology is understood
2. An optimistic cost estimate clears the decision
3. Production commitments made before development finishes
4. Cost and schedule growth; restructuring and quantity cuts
5. Cancellation, or late and diminished delivery

WHY

Requirements, estimate, commitment, growth, cancellation or diminished delivery.

Why is money already spent irrelevant to a cancellation decision?

A. It is not; it must be recovered

✓ B. Because the decision is whether the remaining investment is worth the remaining benefit

C. Because Congress reimburses it

D. Because contractors refund it

WHY

What makes the decision possible in practice is an alternative and a leader willing to absorb criticism.

WHY THE RULES EXIST: A HISTORY OF DEFENSE ACQUISITION · LESSON 7

The Modern Era: Better Buying Power, the Adaptive Acquisition Framework, and the 2026 FAR Rewrite

22 min

Where the system is now and where it is going: Better Buying Power and the efficiency agenda, the middle tier of acquisition and the growth of Other Transactions, the Section 809 Panel, the Adaptive Acquisition Framework and its six pathways including the software pathway, the 2026 FAR overhaul and what it changes for practitioners, and how to keep working confidently while the rulebook is being rewritten around you.

Where the Story Arrives

The system you work in today is the accumulation of everything in the previous lessons: a fraud statute from 1863, a fee structure from 1940, a competition regime from 1984, an integrity law from 1988, a commercial exemption from 1994, an oversight apparatus built after two wars, and a set of milestone disciplines written after a string of failed programs. The last fifteen years have been an attempt to make that accumulation usable: to let the Department buy at commercial speed where it can, to stop forcing every program through one process, and most recently to cut the rulebook itself back to what statute actually requires. This lesson covers the modern reform wave and, more usefully, how to work inside a system whose rules are actively changing.

IN PLAIN TERMS

Nobody buys groceries, a car, and a house the same way. Groceries go in the cart with no paperwork. A car gets a test drive and some negotiation. A house gets an inspection, an appraisal, a mortgage, and a closing. Using the house process for a gallon of milk would be absurd, and buying a house like milk would be reckless. The Adaptive Acquisition Framework (AAF) applies the same logic: six pathways, each with a process sized to what is being bought.

Better Buying Power and the Efficiency Agenda

Beginning in 2010, successive acquisition leaders issued a series of initiatives under the Better Buying Power banner: treat affordability as a requirement rather than an aspiration, set should-cost targets below the independent estimate and manage to them, use incentives tied to outcomes, promote real competition including at the subsystem level, reduce non-value-added process, and professionalize the workforce. It was policy, not law, which made it fast to issue and easy to reverse, and its effect is debated. What survived is the vocabulary and several durable practices: should-cost management, affordability caps set at milestone

decisions, and an expectation that program managers justify their cost trajectory rather than accept it. The finance module's content on should-cost and affordability is Better Buying Power's residue.

Middle Tier and the Growth of Alternatives

The 2016 defense authorization act created the middle tier of acquisition: a pathway for rapid prototyping and rapid fielding with the goal of delivering capability within five years, exempt from much of the major-program process. In the same period, Other Transaction authority expanded and usage grew from a rounding error to tens of billions of dollars a year, and the innovation organizations covered in the on-ramp module were created and funded. The common thread is that rather than reforming the main process, Congress and the Department built alternatives beside it. That is a meaningful strategic choice with a cost: the alternatives carry fewer protections, less cost visibility, and weaker data rights positions unless negotiated, and an organization that routes everything around the main process eventually loses the ability to run it.

The Adaptive Acquisition Framework

In 2020 the Department restructured its acquisition policy around a simple idea: different kinds of things should be bought different ways. The Adaptive Acquisition Framework defines six pathways, each with its own process and decision authority. Urgent capability acquisition fields something in under two years against an urgent need. Middle tier does rapid prototyping or rapid fielding within five years. Major capability acquisition is the traditional milestone process for large systems. The software pathway delivers software continuously with user feedback instead of milestones. The business system pathway buys enterprise IT with a fit-to-standard emphasis. The services pathway applies the services acquisition discipline. A program picks a pathway, can combine or switch them, and is governed accordingly. The foundations module describes the pathways; the point here is that the AAF is the first framework to admit that one process cannot fit a satellite, a payroll system, a drone, and a training contract.

The Six Pathways

PATHWAY	FOR	SPEED TARGET	DEFINING FEATURE
Urgent Capability	Urgent operational needs	Under two years	Fielded fast, sustainment decided later
Middle Tier	Rapid prototyping or rapid fielding	Within five years	Exempt from much of the major-program process
Major Capability	Large complex systems	Years to decades	Milestones, independent estimates, formal test
Software	Software-intensive capability	Continuous delivery	Minimum viable capability release; value assessments instead of milestones
Business Systems	Enterprise IT and business processes	Iterative	Fit-to-standard; change the process before customizing the software
Services	Contracted services	Recurring	Requirements validation, measurable standards, surveillance

EXAMPLE (ILLUSTRATIVE)

A program office has four new needs. A unit has an urgent operational need for a counter-drone sensor, so it goes on the urgent capability pathway, aiming to field in under two years with sustainment decided later. A new mission-planning application goes on the software pathway: a minimum viable capability release reaches users first, and their feedback drives what comes next. Replacing the office's timekeeping system goes on the business systems pathway, where the office changes its process to fit standard software before customizing anything. A recurring maintenance training contract goes on the services pathway, with a validated requirement, measurable standards, and surveillance. Four needs, four pathways, four different processes.

The Section 809 Panel

From 2016 to 2019 an advisory panel, the direct successor to the Section 800 Panel of the early 1990s, reviewed the defense acquisition regulations and produced several volumes of recommendations. Its central argument was that the government's buying rules should distinguish sharply between readily available commercial products and services, which should be bought with commercial practices and minimal government-unique requirements, and defense-unique development, which needs the full apparatus. It recommended a simplified framework for the former, consolidation of overlapping requirements, and removal of a large number of accumulated reporting and certification provisions. Many recommendations were not enacted as written, but the panel's framing (buy commercial commercially, reserve the heavy

process for what genuinely needs it) is the intellectual basis for much of what followed, including the current FAR overhaul.

KNOW WHAT EACH AUTHORITY GIVES UP

There is a real debate about the alternatives-beside-the-process strategy, and it is worth understanding rather than picking a side. Supporters point out that OTs and middle tier programs deliver years faster and have brought new companies in. Critics point out that the same authorities reduce cost visibility, weaken data rights unless negotiated well, produce less competition documentation, and are sometimes used to avoid scrutiny rather than to gain speed. Both are true, and which one applies depends entirely on how a specific program uses the authority. The professional position is to know what protection each authority gives up and to replace it deliberately in the agreement.

One sentence to teach your team: **the modern era stopped trying to make one process work for everything and instead built pathways and alternatives for different kinds of buying, and the current FAR overhaul is the first attempt in thirty years to shrink the underlying rulebook itself.**

INTERMEDIATE

The FAR Overhaul: What Is Happening

Beginning in 2025, the government undertook a comprehensive rewrite of the Federal Acquisition Regulation with a stated aim of removing text not required by statute, shortening and restructuring parts, and reducing government-unique requirements. The mechanics matter for practitioners: rather than waiting for complete rulemaking, agencies issued deviations implementing revised text, so that in a transition period the operative requirement for a given acquisition may be a deviation rather than the published FAR part. Part numbering, clause numbers, and thresholds are in motion. For anyone learning acquisition during this period, the discipline is straightforward: learn the concepts and the purposes, which are stable, and verify every clause citation, threshold, and part reference against the current text or the applicable deviation before relying on it in a document. This course flags that verification wherever a specific number or clause appears. As of September 2026 the overhaul has moved into formal rulemaking: twelve proposed rules in four sets, the first published June 23 and the second September 18, 2026. The Foundations lesson on the Revolutionary FAR Overhaul covers how to work through the transition.

What a Rewrite Can and Cannot Change

The FAR implements statutes. A rewrite can remove regulatory text that no statute requires, consolidate duplicative provisions, simplify language, and change how requirements are organized and presented. It cannot repeal the Competition in Contracting Act, the Procurement Integrity Act, TINA, CAS, the socioeconomic programs, the domestic preference statutes, the labor standards, or the False Claims Act. So

the shape of the system after the overhaul will be the same shape: competition required with justified exceptions, cost data for sole-source work, integrity rules, small business programs, and the rest. What can change is the volume of process layered on top of those statutes, which is substantial and which is where the accumulated burden mostly lives. Understanding this distinction tells you which parts of your knowledge are durable and which parts are text you will need to re-verify.

The Software Pathway as the Template

Of the six pathways, the software pathway is the most different from everything that came before, and it is the template reformers point to. It replaces milestone decisions with continuous delivery: a minimum viable capability release gets working software into users' hands quickly, user feedback drives the backlog, and the program is assessed on value delivered rather than documents produced. It requires a government product owner who can prioritize, a contract structured to buy team capacity rather than a fixed feature list, and an authority-to-operate process that keeps pace. The lifecycle module covers how it works. Its significance here is that it demonstrates the Department can govern a program by delivered outcomes rather than by predicted plans, which is the hardest cultural change in the whole reform agenda.

The Budget Process Remains Unreformed

Almost every reform of the last fifteen years has been about the acquisition process, and almost every practitioner complaint about speed is really about the budget process: money is planned two years ahead, appropriated in specific colors and amounts for specific purposes, and cannot be moved to what is working without reprogramming. A program that discovers an opportunity in March cannot fund it until the fiscal year that begins two Octobers later. Portfolio management proposals, which would appropriate money to a mission area and let leaders move it among programs, have been recommended repeatedly and adopted only in pilots. Until the budget process changes, the acquisition pathways can only go as fast as the money does, which is the constraint the on-ramp module's valley of death lesson describes from the company side.

ADVANCED

Reading Reform Cycles as a Professional

Reform initiatives arrive every few years with new names, and a professional can predict most of their content because the underlying problems do not change. Expect the following to recur: buy commercial, shorten timelines, delegate decisions downward, increase competition, professionalize the workforce, improve cost estimating, streamline documentation, and manage portfolios rather than programs. Expect each to be resisted by the structures that produced the current rules, and expect partial adoption. The useful response is neither cynicism nor enthusiasm. It is to identify which elements of a given reform give you real authority you did not have before (a new pathway, a raised threshold, a delegated decision) and to use those, while continuing to apply the durable disciplines that no reform removes: honest estimates, matched contract types, mature technology, measurable requirements, and documented decisions.

What Would Actually Change the System

The analysts who study this consistently identify three changes that would matter more than process reform. First, budget flexibility: appropriating to portfolios or mission areas so money can follow results within a year rather than two. Second, workforce: enough government people with enough tenure and expertise to run programs and oversee contracts, which every finding since the Truman Committee has identified and which no reform has solved. Third, requirements discipline: pricing requirements before validating them and trading capability against cost early, which requires the requirements community and the acquisition community to make decisions together. None of these is a regulation, which is why rewriting regulations produces less change than expected. Knowing this helps you set expectations about what any given reform will accomplish and where the real leverage in your own program lies.

Working Confidently in a Changing Rulebook

For practitioners during a period of active change, four habits keep you safe and effective. Anchor on purposes rather than citations: know why a requirement exists, because the purpose survives renumbering. Verify before you cite: check the current FAR text and any applicable class deviation before putting a clause number or a threshold in a document, and note the date you checked. Ask the contracting officer what version governs a specific acquisition, because the answer may be a deviation rather than the published part. And write your documents so they explain the reasoning, not just the citation, so that a reviewer can follow the logic even if the reference has moved. These habits are good practice in any period; they are essential in this one.

The Modern Reform Wave, Piece by Piece

What each initiative added.

Better Buying Power (2010 onward) POLICY

Affordability as a requirement, should-cost management, incentives tied to outcomes, workforce professionalization.

Policy rather than statute; should-cost and affordability caps survived.

Middle tier and OT expansion (2016 onward) ALTERNATIVES

Pathways beside the main process; prototype and field faster with fewer protections.

Know what protection each authority gives up and replace it in the agreement.

Section 809 Panel (2016 to 2019) BLUEPRINT

Separate commercial buying from defense-unique development; consolidate and remove accumulated requirements.

The framing behind much of what followed, including the FAR overhaul.

Adaptive Acquisition Framework (2020) PATHWAYS

Six pathways so that a satellite, a payroll system, and a services contract are not governed identically.

The software pathway is the template for outcome-based governance.

FAR overhaul (2025 to 2026) REWRITE

Remove text not required by statute; restructure and shorten; implemented through deviations during transition.

Verify clause numbers, thresholds, and part references against current text.

WHAT SENIOR PMS DO DIFFERENTLY

Senior professionals pick the pathway that fits what they are buying instead of defaulting to the one they know, use new authorities deliberately while replacing the protections those authorities give up, anchor their knowledge on purposes rather than citations, verify every clause and threshold during the rewrite period, and keep applying the disciplines no reform removes: honest estimates, matched contract types, mature technology, and documented reasoning.

BUILD ON THIS

- **The DoD Acquisition System Overview** The pathways in practice
- **The Revolutionary FAR Overhaul** Working while the rulebook is rewritten
- **The Software Acquisition Pathway and Agile** The template pathway in detail
- **Crossing the Valley of Death** Why the budget process is the binding constraint

Key Terms

Better Buying Power

The series of DoD acquisition initiatives beginning in 2010 emphasizing affordability, productivity, competition, incentives tied to outcomes, and a professional workforce. Policy guidance rather than statute.

Middle Tier of Acquisition (MTA)

The rapid prototyping and rapid fielding pathway created by statute in 2016, allowing a program to field capability within five years without the full major-program process.

Section 809 Panel

The advisory panel (2016 to 2019) that reviewed defense acquisition regulations and recommended a fundamental restructuring, including a simplified framework for commercial buying. The successor to the Section 800 Panel.

Adaptive Acquisition Framework (AAF)

The 2020 restructuring of DoD acquisition policy into six pathways (urgent capability, middle tier, major capability, software, business systems, and services), each with its own process, so that programs are not forced into one model.

Software Acquisition Pathway

The AAF pathway built for software: continuous delivery of working capability, a minimum viable capability release, user feedback and value assessments instead of traditional milestones.

Urgent Capability Acquisition

The pathway for fielding a capability against an urgent operational need in under two years, descended from the wartime rapid-response organizations.

FAR Overhaul (2025 to 2026)

The government-wide effort to rewrite the Federal Acquisition Regulation, removing provisions not required by statute, restructuring parts, and shortening the text. Practitioners should verify clause numbers and thresholds against current text.

Deviation

An authorized departure from a FAR requirement, issued by an agency; heavily used during the FAR overhaul to implement new text before final rulemaking.

Portfolio Management

Managing a group of related programs and their budgets together rather than individually, to allow money to move toward what is working. A recurring reform proposal aimed at the budget process.

Commercial-First

The policy preference, restated repeatedly since 1994 and reinforced recently, that the government buy commercial products and services before developing government-unique ones.

Knowledge Check

What did Better Buying Power emphasize?

A. New statutes

✓ **B. Affordability as a requirement, should-cost management, outcome-based incentives, competition, and workforce professionalization, as policy rather than law**

C. Fixed-price development

D. Fewer pathways

WHY

Should-cost and affordability caps are its durable residue.

What is the middle tier of acquisition?

A. A contract type

✓ **B. A pathway for rapid prototyping or rapid fielding within five years, exempt from much of the major-program process**

C. A budget account

D. A protest forum

WHY

Created in 2016; part of the strategy of building alternatives beside the main process.

What is the cost of routing work around the main process?

A. Nothing

✓ **B. Fewer protections, less cost visibility, weaker data rights unless negotiated, and eventual loss of the ability to run the main process**

C. Higher prices only

D. More protests

WHY

Know what each authority gives up and replace it deliberately.

What is the core idea of the Adaptive Acquisition Framework?

A. One process, applied faster

✓ **B. Different kinds of things should be bought different ways, so policy defines six pathways with their own processes**

C. All programs use the software pathway

D. Eliminating milestones

WHY

A satellite, a payroll system, a drone, and a services contract should not be governed identically.

What was the Section 809 Panel's central argument?

A. More oversight

✓ **B. Distinguish sharply between readily available commercial products and services and defense-unique development, and buy commercial commercially**

C. Abolish the FAR

D. Return to formal advertising

WHY

The successor to the Section 800 Panel and the framing behind the FAR overhaul.

What defines the software pathway?

A. Longer milestones

✓ **B. Continuous delivery with a minimum viable capability release, user feedback driving the backlog, and value assessments instead of milestones**

C. Fixed-price development

D. Annual releases

WHY

It demonstrates governing by delivered outcomes rather than predicted plans.

What can a FAR rewrite not change?

A. Clause numbering

✓ **B. The underlying statutes: CICA, the Procurement Integrity Act, TINA, CAS, socioeconomic programs, domestic preference, labor standards, and the False Claims Act**

C. Part organization

D. Language and length

WHY

The shape of the system stays; the process layered on top is what can shrink.

During the FAR overhaul transition, what may govern a specific acquisition?

A. Only the published FAR part

✓ **B. A class deviation implementing revised text, rather than the published part**

C. State law

D. The contractor's terms

WHY

Ask the contracting officer what version governs before relying on a citation.

Which constraint limits how fast any pathway can move?

A. Contract types

✓ **B. The budget process: money planned two years ahead in specific colors and amounts, movable only by reprogramming**

C. Protests

D. Security clearances

WHY

Portfolio management proposals address it and have been adopted only in pilots.

Match the initiative to what it added:**CORRECT MATCHES**

Better Buying Power	Should-cost management and affordability caps
Middle tier and OT expansion	Fast pathways beside the main process
Section 809 Panel	Separating commercial buying from defense-unique development
Adaptive Acquisition Framework	Six pathways with their own processes

WHY

Policy discipline, alternatives, a blueprint, pathways, and a rewrite.

Order the modern reform wave:**CORRECT ORDER**

1. Better Buying Power initiatives begin
2. Middle tier of acquisition created; OT usage expands
3. Section 809 Panel reviews the regulations
4. Adaptive Acquisition Framework restructures DoD policy
5. Government-wide FAR overhaul begins

WHY

Better Buying Power, middle tier, Section 809, AAF, FAR overhaul.

What three changes would matter more than process reform?

A. More regulations, more audits, more reporting

✓ **B. Budget flexibility to move money within a year, enough experienced government workforce, and requirements priced and traded before validation**

C. Longer milestones, larger programs, fixed-price contracts

D. Fewer pathways, more centralization

WHY

None is a regulation, which is why rewriting regulations produces less change than expected.

WHY THE RULES EXIST: A HISTORY OF DEFENSE ACQUISITION · MODULE ASSESSMENT

Module Assessment

Pass this to unlock the next skill level in the app.

Knowledge Check

What is the recurring pattern in procurement history?

- A. Steady simplification over time
- ✓ B. Emergency money and relaxed rules, then abuse, then a statute, then slowness, then reform, then the next emergency
- C. Rules written in advance of problems
- D. Congress leaving procurement alone

WHY

Almost every rule is scar tissue from a specific event.

Why is cost-plus-percentage-of-cost contracting prohibited?

- A. It is administratively complex
- ✓ B. Profit rises with spending, so it rewards waste, as World War I demonstrated
- C. It excludes small business
- D. It requires too much audit

WHY

Banned by statute in 1940; CPFF with a fixed fee is the descendant.

What did the Competition in Contracting Act establish?

- A. Formal advertising as the default
- ✓ B. Full and open competition as the requirement, with seven exceptions each needing a written justification, plus GAO protest authority with an automatic stay
- C. Commercial item preference
- D. Cost accounting standards

WHY

The J&A, the protest system, and competition advocates are all CICA.

What produced the Procurement Integrity Act?

A. The spare parts scandals

✓ **B. Operation Ill Wind, the bribery investigation into consultants buying inside procurement information from officials**

C. The A-12 cancellation

D. The Last Supper

WHY

Enacted in 1988, within months of the investigation becoming public.

What does TINA require?

A. That the contractor's estimate prove correct

✓ **B. That certified cost or pricing data be accurate, complete, and current as of the agreement date, with a price reduction for defects**

C. A capped profit rate

D. Competition on every award

WHY

A requirement to be complete, not to be right. Facts, not judgments.

What do the Cost Accounting Standards require?

A. Specific allowable cost levels

✓ **B. Consistent measurement, assignment, and allocation of costs, with disclosed practices followed consistently**

C. A fixed indirect rate

D. Annual price reductions

WHY

Created after testimony that contractors shifted costs through inconsistent accounting.

What does FAR Part 12 exempt a commercial acquisition from?

A. Competition requirements

✓ **B. Cost Accounting Standards and ordinarily certified cost or pricing data, with a short clause list**

C. Past performance evaluation

D. Protest jurisdiction

WHY

The price comes from the market rather than from the contractor's costs.

What was the Last Supper?

A. A budget hearing

✓ **B. The 1993 dinner at which DoD told industry the budget would support far fewer primes, encouraging the consolidation that created today's market**

C. A protest decision

D. A commercial item ruling

WHY

Many later competition and sustainment problems are downstream of it.

What single factor underlies most wartime contracting findings?

A. Contractor fraud

✓ **B. Not enough government people to oversee the work**

C. Poor technology

D. Weak statutes

WHY

Cost-type contracts require oversight capacity the Department did not deploy.

What is the best predictor of major program cost growth?

A. Contract type

✓ **B. Beginning development with technologies at low readiness levels**

C. Contractor size

D. Program office location

WHY

Unknown problems surface during integration, when changes cost the most.

What does a Nunn-McCurdy critical breach require?

A. Immediate termination in all cases

✓ **B. Secretary certification that the capability is essential, no alternative exists, the estimate is reasonable, and management is adequate, or termination**

C. A protest

D. A contract novation

WHY

Most are certified; the value is forced honest re-estimation in public.

During the FAR overhaul, what should a practitioner do?

A. Memorize clause numbers

✓ **B. Anchor on the purpose of each requirement, verify clause numbers and thresholds against current text or the applicable deviation, and ask which version governs**

C. Ignore the FAR

D. Wait for final rulemaking before acting

WHY

Purposes survive renumbering; citations do not.